The Stablecoin Toolkit

PART II: LAW, REGULATION, AND MONETARY POLICY

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The Wharton Blockchain and Digital Asset Project (BDAP), part of the Wharton Initiative on Financial Policy and Regulation, is a research initiative focused on the evolving blockchain phenomenon. BDAP provides balanced, research-based perspectives and draws on world-class Wharton/Penn faculty, alumni, and students, as well as relationships with officials and industry experts from around the world, to bridge gaps among stakeholders.

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Executive Summary

This report is the second in the series of the Stablecoin Toolkit Project prepared by the Wharton Blockchain and Digital Asset Project (BDAP). Part I, *The Stablecoin Toolkit: Financial and Market Dimensions* ("Report 1"), established that stablecoins are not a single asset class but a heterogeneous layer of financial infrastructure, spanning distinct stabilization mechanisms, business models, and uses across payments, trading, and liquidity management. This report carries insight into three interrelated domains: private law, financial regulation, and monetary policy. Its central argument is that the structural features which differentiate stablecoins in the market—reserve composition, redemption design, and custody architecture—are the very features that determine their treatment under law, regulation, and the monetary system. Market heterogeneity, in short, has produced the need for legal and policy heterogeneity, even as regulation of one sub-type has converged.

The heterogeneity of stablecoins has significant legal consequences under private and commercial law. Stablecoins that serve as redeemable claims on segregated reserves operate similarly to traditional financial instruments. In contrast, those that depend on a formula or a synthetic hedge act as system-dependent tokens without a clearly identified counterparty. That distinction affects the question of whether stablecoins can qualify as objects of property rights, be used as security in secured transactions, or be nothing but contractual claims. The notion of "control," which plays such an important role in the market analysis and classification in Report 1, has been adopted as the functional equivalent of possession in many countries, especially with respect to digital assets. That was made particularly clear in Article 12 of the US Uniform Commercial Code (UCC), the UNIDROIT Principles on Digital Assets and Private Law, and the UK Property (Digital Assets etc.) Act 2025. Nevertheless, the legal treatment of stablecoins remains uneven, and the related questions of settlement finality, close-out netting, and cross-border conflict of laws remain unresolved in most jurisdictions.

In regulation, the report documents a convergence. By mid-2026, the major jurisdictions, the United States under the GENIUS Act, the European Union under the Markets in Crypto-Assets Regulation, the United Kingdom under its new property and cryptoasset regimes, and Japan, Singapore, Hong Kong, and the United Arab Emirates under frameworks of their own, had settled on a common regulated instrument: a fiat-referenced token, redeemable at par by those with a direct claim against the issuer, fully backed by segregated high-quality liquid reserves, and issued by a licensed and supervised entity. That regulated core, however, does not describe the entire market. Algorithmic, crypto-collateralized, and synthetic designs, together with offshore, contract-based tokens, fall largely outside these frameworks, are admitted only conditionally, or are prohibited. The resulting gap between the regulatory perimeter and the market as it actually exists generates both regulatory-arbitrage risk and persistent shortfalls in consumer and systemic protection—concerns underscored by the Financial Stability Board (FSB)'s October

2025 finding of significant gaps and inconsistencies in how jurisdictions have implemented the agreed standards.

The report's most forward-looking contribution connects stablecoins to monetary policy and the design of the monetary system, which Report 1 leaves implicit. Stablecoins that use high-quality, liquid collateral to guarantee their par value are becoming increasingly similar to narrow banking and synthetic central bank money, posing first-order issues for the future evolution of money. These issues concern specifically three aspects of stablecoins analyzed in this report: the implications of their reserve access and central bank backstop; the impact of interest-paying stablecoins on competition for deposits and monetary transmission; and the use of stablecoins as instruments of currency substitution and cross-border monetary externalities. These phenomena imply that stablecoins are more than complements to the current financial system; they can become parallel layers of the monetary system.

Stablecoins now sit at the intersection of property law, payments law, financial regulation, and monetary governance. Building on the earlier report's market-based taxonomy, the present report argues that legal clarity and policy coherence can be achieved only by aligning these domains with the structural diversity of stablecoins rather than against it. The convergence around a regulated core is real. As of writing this report, stablecoin regulation is largely codified in the major jurisdictions, though not everywhere, and the unresolved questions of private law, the divergent regulatory characterizations, the persistent gaps in consumer protection, and the open choices of monetary policy all remain to be worked out. Whether the coming years bring deeper convergence or sharper fragmentation, across jurisdictions, legal regimes, and monetary systems, will turn on how deliberately that alignment is pursued.

This report draws on a steering committee and expert working group assembled by the Wharton Blockchain and Digital Asset Project; members are listed in Appendix E. All views expressed are those of the lead author.

1. Introduction

Stablecoins have evolved rapidly from niche instruments within crypto-asset markets into components of globally significant financial infrastructure. Today, they are used for payments, cross-border settlements, trading, collateralization, and liquidity management. Yet despite their systemic relevance, the legal and policy regimes governing stablecoins remain fragmented, incomplete, and unevenly developed across jurisdictions.

This fragmentation reflects a deeper structural challenge. Stablecoins do not neatly fit into existing legal and regulatory categories. Depending on their design, a stablecoin may function like money, a deposit-like liability, a payment instrument, a security, or a commodity, while fitting none of these fully. As a result, jurisdictions have responded in a patchwork fashion, extending legacy frameworks rather than developing coherent, purpose-built regimes. The outcome is a global landscape marked by divergence, not only in regulatory scope and intensity, but also in the underlying legal characterization of stablecoins.

These divergences give rise to three distinct forms of friction. First, there are frictions between private and commercial laws. Legal systems differ in how they recognize stablecoins as property, define control, and permit their use as collateral. This uncertainty creates challenges across core commercial functions, including transfer, settlement finality, netting, and insolvency. A stablecoin that operates flawlessly on-chain may confront significant ambiguity in off-chain legal processes, especially across borders.

Second, there are regulatory frictions. Many jurisdictions now regulate fiat-backed, reserve-based stablecoins used for payments, but they do so under divergent frameworks and supervisory structures. Some treat stablecoins as e-money, others as payment instruments, and others as a new *sui generis* category. Meanwhile, crypto-collateralized, algorithmic, and synthetic models often remain at the periphery of regulatory oversight. The result is uneven consumer protection, prudential standards, and market access, alongside growing potential for regulatory arbitrage.

Third, and most importantly, monetary policy friction remains underexplored in both law and policy. Stablecoins are frequently analyzed as payment innovations or compliance challenges, but their broader implications for monetary transmission and sovereignty receive less attention. As privately issued digital liabilities backed by safe assets, stablecoins can reshape deposit intermediation, compete with bank money, and influence access to central bank-linked returns. Their global circulation further raises questions about currency substitution, monetary sovereignty, and the evolving role of dominant currencies. These issues lie at the heart of modern monetary governance.

The absence of a unified analytical framework across these domains has produced conceptual fragmentation. Legal scholarship often sidelines monetary implications; regulatory debates

emphasize compliance over classification; and monetary analyses rarely engage with legal infrastructure. This siloed approach obscures the interconnected nature of stablecoins, which operate at the intersection of law, regulation, and monetary policy. Developments in one domain inevitably shape outcomes in the others.

This report addresses this gap. It provides an integrated framework for understanding how stablecoins are recognized by law, regulated, and positioned within monetary systems. Its central premise is that stablecoins must be assessed through a taxonomy-sensitive framework that links policy outcomes to core design features such as asset backing, redemption structures, and custody architecture.

The report is structured in three parts:

Section 2 (Private Law) examines the legal foundations of stablecoins—property rights, control, collateralization, settlement finality, and insolvency—and compares how jurisdictions are adapting to digital assets.

Section 3 (Regulation) offers a comparative analysis of stablecoin regulatory regimes, evaluating their approaches to redemption, reserves, licensing, consumer protection, and anti-financial crime measures, and identifying gaps and inconsistencies.

Section 4 (Monetary Policy Considerations) explores how stablecoins may interact with existing monetary structures, addressing topics such as reserve access, interest-bearing models, bank disintermediation, and cross-border currency dynamics.

By bringing these perspectives together, the report aims to move beyond fragmented analysis and present a coherent framework for understanding stablecoins as legal, regulatory, and monetary phenomena. Ultimately, the central challenge is not only to regulate stablecoins effectively, but to align legal classification, regulatory architecture, and monetary policy with the structural realities of this emerging financial form.

2. Private Law

Private law concerns disputes between private parties. The key private law areas for stablecoins are the treatment of stablecoins as commercial property and the determination of the applicable legal regime for cross-border disputes involving stablecoins.

2.1 Commercial Law

2.1.1 Stablecoins and Commercial Transactions

Stablecoins initially emerged as a secure "parking space" to shield investors from the price volatility of unbacked crypto-assets.[1] Fiat-referenced payment stablecoins, however, have evolved well beyond that initial function: they are now widely used as a means of payment, particularly for cross-border settlements and on-chain transactions. Their deployment in commercial transactions, particularly as collateral, is more nascent and remains legally under-theorized in most jurisdictions. Understanding the commercial law treatment of stablecoins requires addressing three interrelated questions: whether stablecoins constitute legally cognizable objects of proprietary rights; what legal mechanisms enable them to support security interests; and how these questions are resolved or left open across jurisdictions.

Two frameworks inform the treatment of each of these questions across the commercial-law analysis that follows. Subsection A introduces the tokenized-collateral taxonomy of the International Swaps and Derivatives Association (ISDA) and Subsection B the UNIDROIT Principles on Digital Assets; although presented here, both are jurisdiction-agnostic instruments that bear on the property, collateral, and cross-border questions addressed throughout this section rather than on any single sub-issue, and both ultimately leave the threshold question of legal characterization to national law. Subsection C then examines how one major jurisdiction, the United States, has answered that characterization question through UCC Article 12, which raises the further question whether comparable commercial-law regimes exist elsewhere. Subsection D turns to settlement finality and netting, where divergent national rules have the most immediate consequences for stablecoins used in commercial transactions.

A. The Collateral Function: ISDA's Tokenization Taxonomy

The use of stablecoins as collateral has attracted the attention of the derivatives market infrastructure. ISDA has responded by publishing a jurisdiction-agnostic Tokenized Collateral

[1]FSB, 'High-Level Recommendations for the Regulation, Supervision and Oversight of Global Stablecoin Arrangements: Final Report' (July 2023) 1–5 <https://www.fsb.org/2023/07/high-level-recommendations-for-the-regulation-supervision-and-oversight-of-global-stablecoin-arrangements-final-report/> accessed 3 August 2026. See further FSB, 'Thematic Review on the FSB Global Regulatory Framework for Crypto-asset Activities' (October 2025), finding significant gaps and inconsistencies in implementation across jurisdictions - only five jurisdictions had finalized comprehensive stablecoin frameworks as of August 2025.

Guidance Note ("Guidance Note") in 2024, which includes model provisions for the use of tokenized securities and stablecoins as collateral under ISDA documentation.[2] The Guidance Note characterizes "tokenized collateral" as proprietary rights or interests, such as contractual claims, that are (i) linked to a digital object of property (bearer structure) and (ii) represented by tokens on a register based on distributed ledger technology (DLT) maintained by a third party (claims structure). All such structures are treated as "dematerialized" in the sense that no physical certificate is issued.

The Guidance Note distinguishes three broad tokenization structures by reference to who controls the token, how transfers are effected on the ledger, and the property status of the tokenized interest.[3] In the case of fiat-collateralized stablecoins, this classification may treat stablecoins as either a direct claim on the reserves or a more remote contractual claim against the issuer. From the commercial law standpoint, whether stablecoins will be regarded as "property" or merely a contractual claim depends on the determination of stablecoins' ability to function as proper collateral compared to traditional book-entry securities. ISDA addresses the level of market documentation.

However, the key question remains—whether stablecoins are legal objects of property rights that can support security interests. Most jurisdictions treat this aspect of commercial law as a matter of domestic private law. Some international soft-law instruments are also emerging, as discussed in the following section.

B. Soft-Law Framework: UNIDROIT Principles on Digital Assets

The UNIDROIT Principles on Digital Assets and Private Law ("UNIDROIT Principles") provide the most developed soft-law template for states to recognize digital assets, including stablecoins, as objects of proprietary rights.[4] The UNIDROIT Principles define a digital asset broadly as an "electronic record" capable of being the object of control and of supporting transfers of proprietary rights.[5] Accordingly, national legislation may classify stablecoins as "property", a "good", a "thing", or via a new *sui generis* category, and may subject them to security rights with collateral value in secured transactions.[6]

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[2]International Swaps and Derivatives Association (ISDA), 'Tokenized Collateral Guidance Note' (2024), available at <https://www.isda.org/2024/05/21/isda-tokenized-collateral-guidance-note/> accessed 3 August 2026. See also ISDA, 'Digital Assets Primer' (2023).

[3]ISDA Tokenized Collateral Guidance Note (n 2) s 2 ('Tokenization Structures'), distinguishing: (i) the native digital asset structure; (ii) the wrapped token structure; and (iii) the record-based structure.

[4]UNIDROIT, 'Principles on Digital Assets and Private Law' (2023) <https://www.unidroit.org/instruments/digital-assets/> accessed 3 August 2026. The Principles were adopted by the UNIDROIT Governing Council at its 102nd session in May 2023.

[5]UNIDROIT (n 4) Principle 2 (Definitions). The definition is deliberately broad and technology-neutral to accommodate existing and future forms of digital asset.

[6]ibid Principle 5 (Classification). The Commentary notes that the choice of classification is left to each enacting state and that any of the listed approaches is compatible with the Principles provided it supports proprietary rights and control-based transfer.

"Control" is the central connecting concept throughout the UNIDROIT Principles. A person has control of a digital asset where they can (i) obtain all of the benefits of the asset substantially, (ii) prevent others from doing so, and (iii) unilaterally change who has control.[7] On that basis, the UNIDROIT Principles permit digital assets to be the subject of security rights (Principle 14), which can be made effective against third parties by control (Principle 15) and enjoy priority over security rights perfected by other methods (Principle 16).[8]

In effect, UNIDROIT proposes for digital assets a functional analog of possessory security: third-party effectiveness and priority follow "control," combined with protection for an innocent acquirer who takes control in good faith and without notice of adverse claims. The Principles leave conflict-of-laws questions to national private international law, acknowledging only that states should develop coherent rules—a gap that takes on practical significance in cross-border collateral arrangements, addressed further in Section 2.2 below.[9]

C. The US Framework: UCC Article 12 and Controllable Electronic Records

In the United States, commercial and property law are primarily matters of state law, and digital assets were historically treated as "general intangibles" under UCC Article 9—a residual classification that affords no take-free protection and limits perfection to filing. The 2022 UCC amendments introduced Article 12 on "Controllable Electronic Records" (CERs) and made corresponding changes to Articles 1 and 9, creating a dedicated framework for the transfer and collateralization of a subset of digital assets, including many stablecoins.[10]

A CER is defined as a record stored in an electronic medium that can be subjected to "control," and Article 12 deliberately treats control as the functional equivalent of possession.[11] Article 12 also extends this logic to "controllable accounts" and "controllable payment intangibles" (CPIs), where the underlying claim is evidenced by a CER. If such a CER is transferred to a qualifying purchaser, the controllable account or CPI becomes the electronic equivalent of a negotiable instrument: the purchaser takes it free of competing property claims.[12] For US dollar-backed

[7] ibid Principle 4 (Control). The Commentary draws an explicit analogy between 'control' of a digital asset and 'possession' of a tangible movable. The three-part test is cumulative.

[8] ibid Principles 14–16 (Security Rights). Principle 16 provides that a security right perfected by control takes priority over a security right perfected by any other method, including registration.

[9] ibid Principle 11 (Conflict of Laws), Commentary para 11.3.

[10] Uniform Law Commission and American Law Institute, 'Amendments to the Uniform Commercial Code' (2022), introducing UCC art 12 (Controllable Electronic Records). As of 2025, art 12 has been enacted in Arkansas, Colorado, Indiana, Missouri, Nevada, New Hampshire, North Dakota, Utah, and Wyoming, among others. Update (2026): New York's enactment on 5 December 2025 (in force 3 June 2026) made it the thirty-third jurisdiction to adopt the 2022 Amendments, including Article 12.

[11] UCC s 12-102(a)(4) (definition of 'controllable electronic record'). The Official Comment states that 'control' under art 12 is the analog to possession for tangible assets.

[12] UCC s 12-104 (effect of transfer of controllable electronic record) and s 12-105 (qualifying purchaser). A 'qualifying purchaser' is defined in s 12-102(a)(7) as a purchaser who obtains control for value, in good faith, and without notice of a property claim.

stablecoins structured as claims on an issuer, the amended article implies that, once characterized as CPIs, a secured party that acquires control can obtain both the redemption right and "take-free" protection, substantially enhancing their suitability as collateral.

The 2022 amendments also introduce a dedicated choice-of-law rule: the governing law for perfection and priority of a security interest in a CER is generally the "local law of the controllable electronic record's jurisdiction," subject to a waterfall that looks first to an express designation in the record itself.[13] This allows parties, to some extent, to pre-select the governing law for cross-border stablecoin collateral arrangements, though the practical limits of that designation, particularly where foreign courts may decline to apply it, remain untested.

D. Settlement Finality and Netting

A further dimension of commercial law bearing on stablecoins is settlement finality, the point at which a transfer becomes irrevocable and protected against unwinding in the event of insolvency. This is foundational to commercial law and is explicitly addressed in the EU's Settlement Finality Directive, which currently applies to formally designated payment and securities settlement systems but not to most DLT-based stablecoin settlement rails.[14] The EU's DLT Pilot Regime has begun to extend finality protections to tokenized securities settled on DLT, but payment stablecoins remain in a legal gray zone with respect to finality.[15] In the United States, UCC Article 4A governs funds-transfer finality for traditional payment systems, and its application to stablecoin payments remains an open question that neither the 2022 UCC amendments nor the Guiding and Establishing National Innovation for US Stablecoins Act (enacted as Public Law 119-27 on July 18, 2025) (hereinafter the GENIUS Act) fully resolves.[16]

Netting arrangements, bilateral and multilateral close-out netting under ISDA master agreements, are also materially affected by how stablecoins are classified. If a stablecoin is treated as "cash" or a "cash equivalent," it may be eligible as a close-out netting settlement currency. If it is treated as a commodity or a general intangible, those mechanics may not apply cleanly, and the enforceability of netting provisions may be compromised in insolvency,

[13]UCC s 9-306A (choice of law for controllable electronic records, controllable accounts, and controllable payment intangibles). The waterfall provides: (i) law designated in the CER; (ii) law of the issuer's jurisdiction; (iii) as final fallback, the law of the District of Columbia.

[14]Directive 98/26/EC of the European Parliament and of the Council of 19 May 1998 on settlement finality in payment and securities settlement systems [1998] OJ L166/45.

[15]Regulation (EU) 2022/858 of the European Parliament and of the Council of 30 May 2022 on a pilot regime for market infrastructures based on distributed ledger technology [2022] OJ L151/1, art 2(5).

[16]UCC art 4A (Funds Transfers). Whether a stablecoin transfer constitutes a 'funds transfer' within art 4A depends on whether the stablecoin issuer constitutes a 'bank' and whether the transfer is a 'payment order' — questions unresolved for decentralized stablecoin rails.

potentially with systemic consequences for market participants using stablecoins as variation margin.[17]

The cross-border dimension reveals a patchwork of regulatory approaches. The UK's Law Commission published its Digital Assets Final Report in June 2023, recommending recognition of a third category of personal property—"data objects"—encompassing most stablecoins,[18] and the Property (Digital Assets etc.) Act 2025 gave statutory effect to that recommendation and received Royal Assent on December 2, 2025.[19] In Singapore, the High Court recognized cryptocurrency as property capable of supporting a proprietary injunction in *CLM v CLN [2022]*.[20] The Payment Services Act (as amended in 2023) (PSA) establishes reserve and redemption requirements for stablecoin issuers.[21] In the United Arab Emirates, the Central Bank's Payment Token Services Regulation (2024) confers payment-instrument status on dirham-denominated stablecoins, with the Virtual Assets Regulatory Authority (VARA) and the Abu Dhabi Global Market (ADGM) Financial Services Regulatory Authority (FSRA) regulating virtual-asset activity alongside it,[22] while Japan's 2023 Act on Settlement of Funds amendments achieved statutory insolvency remoteness for trust-type stablecoins, whose reserves are held under the Trust Act; bank-issued and fund-transfer-issued stablecoins are protected instead by deposit law and by statutory security over redemption obligations.[23]

The finality and netting surveyed above are, in turn, a specific instance of a more general feature of the legal treatment of stablecoins; their commercial-law status is unsettled and varies across jurisdictions. Despite these developments, significant cross-jurisdictional frictions remain where the same stablecoin is characterized differently across legal systems—as money, e-money, a general intangible, a CER, a CPI, or "electronic money."

The Rome I Regulation provides a regime for contractual obligations. Nonetheless, it falls short of providing guidance on the proprietary effects of assignments.[24] The Hague Securities

[17]ISDA, '2002 ISDA Master Agreement' s 6 (Early Termination; Close-Out Netting). Whether stablecoins qualify as 'Eligible Collateral' or 'Eligible Currency' under the Credit Support Annex depends on the specific CSA terms negotiated between the parties.

[18]Law Commission of England and Wales, 'Digital Assets: Final Report' (Law Com No 412, June 2023) <https://lawcom.gov.uk/project/digital-assets/> accessed 3 August 2026.

[19]Property (Digital Assets etc.) Bill [HL] 2024–25, introduced in the House of Lords on 11 September 2024. The Bill was subsequently enacted as the Property (Digital Assets etc) Act 2025 (c 29), which received Royal Assent on 2 December 2025 and came into force on 31 January 2026. The Act confirms that a thing is not prevented from being personal property merely because it is neither a thing in possession nor a thing in action.

[20]*CLM v CLN* [2022] SGHC 46 (Singapore High Court, 4 March 2022).

[21]Monetary Authority of Singapore, Payment Services Act 2019 (No 2 of 2019), as amended by the Payment Services (Amendment) Act 2021 and further regulations issued in 2023.

[22]Central Bank of the UAE, Payment Token Services Regulation (Circular No 2/2024, in force 6 July 2024), which governs Dirham Payment Tokens and Foreign Payment Tokens; see also Virtual Assets Regulatory Authority (VARA), UAE, 'Virtual Assets and Related Activities Regulations 2023'.

[23]Japan, Act on Settlement of Funds (as amended 2023). Japan's reforms predated MiCA's reserve segregation provisions for ARTs and EMTs (applicable from 30 June 2024) and the GENIUS Act.

[24]Regulation (EC) No 593/2008 on the law applicable to contractual obligations (Rome I) [2008] OJ L177/6, art 14(2).

Convention applies only insofar as DLT-native stablecoins are held outside a traditional intermediary.[25] The UCC's choice-of-law provision offers a partial solution for US-governed instruments.[26] However, since there are no harmonized international regulations on the issue, the commercial law nature of the same stablecoin may differ. **Appendix A** maps how each jurisdiction has drawn its regulatory perimeter, which in turn shapes that commercial-law characterization. In jurisdictions that have adopted stablecoin-specific legislation, such as the GENIUS Act or the EU's Markets in Crypto-Assets (MiCA) regulation, the legal characterization of stablecoins would define their treatment as cash-equivalent collateral, negotiable payment claims, or mere general intangibles in commercial transactions.[27]

E. Error Resolution and Redress for Unauthorized Transactions

The protections discussed in this section relate primarily to payment regulation rather than private or commercial law. The GENIUS Act creates the statutory category of the "payment stablecoin" and excludes such instruments from the definitions of security and commodity, without assimilating them to any existing category of payment instrument (see Section 3.5). Consequently, it is reasonable to assume that stablecoins are becoming an increasingly popular means of conducting cross-border payments. This development may pose challenges specific to payment instruments and call into question whether traditional commercial law provides a remedial framework for consumers transacting with stablecoins.

The discussion is placed here because it addresses the same practical concerns of transfer and redress raised above, but it is best understood as an adjacent body of law rather than as a further question of commercial law. Payment law typically provides a legal framework to protect consumers against erroneous or unauthorized transactions for which they are not responsible, while also limiting their liability. In the United States, for example, the Electronic Funds Transfer Act (EFTA) caps a consumer's liability for an unauthorized transaction on a graduated basis: at US$50 where the consumer notifies the institution within two business days of learning of the loss or theft, at US$500 where notice comes later but within sixty days of transmittal of the periodic statement, and without limit for transfers occurring after that sixty-day window, provided that the consumer notifies the financial institution within the applicable period.[28] A similar protection regime is established under the EU's Payment Services Directive 2 (PSD2),

[25]Hague Convention of 5 July 2006 on the Law Applicable to Certain Rights in Respect of Securities held with an Intermediary. For DLT-native stablecoins held without a traditional intermediary, the Convention's connecting factor is absent.

[26]UCC s 9-306A (n 13). No reported decision has yet addressed the cross-border enforceability of a UCC s 9-306A designation in a non-US court.

[27]GENIUS Act (Guiding and Establishing National Innovation for US Stablecoins Act of 2025), S.1582, 119th Congress. Regulation (EU) 2023/1114 (MiCA) [2023] OJ L150/40, art 3(1)(6)–(7). The GENIUS Act was enacted as Public Law 119-27, 139 Stat 419 (18 July 2025); it takes effect on the earlier of 18 months after enactment or 120 days after the primary federal regulators issue final implementing rules. See OCC, 'GENIUS Act Regulations' (Notice of Proposed Rulemaking, published in the Federal Register on 2 March 2026, comment period closed 1 May 2026); see also FDIC, 'GENIUS Act Requirements and Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers' (NPRM, 10 April 2026).

[28]Electronic Fund Transfer Act 1978 (US) (EFTA), 15 USC s 1693g(a).

under which the payment service provider is generally liable for the loss of funds unless negligence or a failure to report on the customer's part can be demonstrated.[29]

However, it remains unclear whether stablecoin transactions are categorized as "electronic" money or as fund transfers under existing e-money regulations (for more discussion, see Section 3.5). As a result, the processes for resolving errors and addressing unauthorized transactions in stablecoin payments are also uncertain. To date, stablecoin-specific legislation, such as MiCA, has addressed these aspects solely through public disclosure requirements rather than by imposing an affirmative liability framework.[30]

2.1.2 Redemption Rights During Issuers' Bankruptcy

The right of holders to redeem their stablecoins in the event of an issuer's bankruptcy is usually governed by the bankruptcy law of the relevant jurisdiction. The claim to property rights allows holders to exercise those rights against other parties in bankruptcy. If no clear proprietary rights are specified, resolution is contingent on the contractual terms set by the issuer, public disclosure obligations, or a court-approved bankruptcy plan following a collapse.[31]

The UNIDROIT Principles do not address the insolvency of the issuer, which is the question at hand; they address two adjacent situations. Where the asset is self-custodied and the holder, rather than the issuer, becomes insolvent, insolvency law allows the insolvency representative to take possession of the holder's crypto-assets, sell them, and distribute the proceeds to creditors in accordance with the applicable priority waterfall.[32] Where stablecoins are held under custodianship and the custodian fails, the law should allow the owner to instruct the custodian to transfer the asset into her control or to a third party to whom she has agreed to sell it.[33] Depending on the jurisdiction, reserve assets used to stabilize the value of stablecoins may be held legally and operationally segregated from the issuer's own assets. The rationale for such separation is that it prevents the firm from using client assets and safeguards them in the event of insolvency. The insolvency treatment of holders across both regulated and unregulated stablecoin models is summarized comparatively in **Appendices C** and **D**.

2.1.3 Legal Characterization of Stablecoins' Proprietary Rights

Digital assets are inherently intangible. Some authors argue that the term "coin" is misleading, as it wrongly suggests a bearer instrument, whereas in fact these "coins" are registered and

[29]Directive (EU) 2015/2366 on payment services in the internal market (PSD2) [2015] OJ L337/35, arts 73–74.
[30]Regulation (EU) 2023/1114 (MiCA) (n 27) arts 22–24 and arts 51–53 (white paper disclosure requirements). MiCA does not impose a liability framework comparable to PSD2 or EFTA.
[31]For the interaction between stablecoin proprietary rights and insolvency, see UNIDROIT Principles on Digital Assets and Private Law (n 4) Principles 18–19 (Insolvency).
[32]ibid Principle 18 (Insolvency — Self-Custody).
[33]ibid Principle 19 (Insolvency — Custodian).

transferred to a system-of-accounts database.[34] This distinction is crucial for property law. In traditional property law, a bearer instrument implies that physical possession itself confers title, as with a physical banknote. If stablecoins are merely entries in a distributed ledger or a system of accounts, then ownership is a matter of recorded entry and control over cryptographic keys, rather than physical possession. This recharacterization fundamentally alters how property law principles apply.

If stablecoins are not really bearer instruments, then the legal framework regulating transferability, creating security interests, and bankruptcy treatment of such assets should be compatible with the framework governing intangible rights or claims against issuers or systems—rather than physical property.[35] From a practical point of view, holding a stablecoin in a self-hosted wallet may not offer the same level of property protection as holding a tangible banknote, especially in centralized stablecoin systems or when issuers face solvency issues. The self-hosted wallet further raises questions, among others, about what to do in the event of seizure of stablecoins by law enforcement agencies, when these coins are inherited, and the determination of situs when a conflict-of-law issue arises between transacting parties. Establishing the situs of law is much harder for intangible rights than for physical objects due to the ambiguity of their location.

In the United States, the legal status of stablecoins under state law is not uniform. As mentioned previously in Section 2.1.1.C, the Uniform Law Commission adopted Article 12 recognizing electronic records, including digital assets, as CERs.[36] States have begun to enact laws clarifying the status of digital assets. Delaware was the first US state to recognize blockchain technology under corporate law by authorizing its use for maintaining stock ledgers and other corporate records in 2017.[37] Wyoming quickly followed with a comprehensive suite of 13 laws in 2018-19,[38] including the first commercial law that defined the legal status of digital assets under the UCC. As of this writing, New York's enactment in December 2025 (signed 5 December 2025, effective 3 June 2026) made it the thirty-third jurisdiction to adopt the 2022 amendments, including UCC Article 12, but the commercial law status of digital assets in the remaining states is still unclear.[39] Therefore, its clarifying effect remains geographically uneven, and the commercial-law status of stablecoins in the remaining states continues to turn on the residual general-

[34]Primavera De Filippi and Aaron Wright, Blockchain and the Law: The Rule of Code (Harvard University Press 2018) 18.

[35]See, e.g., Remo Ehrat, 'Legal Issues of Cryptocurrencies' in Kern Alexander and others (eds), Cryptoassets: Legal, Regulatory, and Monetary Perspectives (OUP 2019) ch 2.

[36] Uniform Law Commission, 'Uniform Commercial Code, 2022 Amendments to' (Uniform Law Commission) <https://www.uniformlaws.org/committees/community-home?CommunityKey=1457c422-ddb7-40b0-8c76-39a1991651ac> accessed 3 August 2026.

[37] 'Delaware's New Blockchain Technology Regulations Could Revolutionize Business' (Loeb & Loeb LLP, August 2017) <https://www.loeb.com/en/insights/publications/2017/08/delawares-new-blockchain-technology-regulations-__> accessed 3 August 2026.

[38] Caitlin Long, 'What Do Wyoming's 13 New Blockchain Laws Mean?' Forbes (4 March 2019) <https://www.forbes.com/sites/caitlinlong/2019/03/04/what-do-wyomings-new-blockchain-laws-mean/> accessed 3 August 2026.

[39] Uniform Law Commission, '2022 Amendments to the Uniform Commercial Code' (n 36).

intangible analysis. Consequently, litigation on such state law matters is beginning to wind its way through US courts. US courts have on several occasions held that crypto-assets constitute property.[40]

That general recognition, however, has not translated into a settled commercial-law characterization of stablecoins in particular. A recent case illustrates the persistence of this uncertainty rather than its resolution. In February 2025, a federal judge was asked to classify the stablecoin "USDC" under Delaware's commercial law.[41] The plaintiff alleged that it had lost US$1 million in USDC due to its own mistake and, in an attempt to avail itself of remedies available under Delaware's UCC for the replacement of lost commercial instruments, asserted that USDC was either a negotiable instrument or a certificated security under Delaware's UCC.[42] The federal judge declined to classify USDC as a commercial security and instead granted USDC's issuer, Circle Internet Financial, a motion to dismiss based on contract law. As a result, the ambiguity in USDC commercial law persists. The case was argued before the US Court of Appeals for the First Circuit on October 8, 2025, with a decision pending as of this writing.[43]

Other common law jurisdictions have begun addressing the property questions raised by crypto-assets, and their conclusions may affect the property status of stablecoins. In the United Kingdom, the High Court recognized crypto-assets as property provided that they fulfill the legal indicia stated in *National Provincial Bank Ltd v Ainsworth*:[44] that a property right must be "definable, identifiable by third parties, capable in its nature of assumption by third parties, and have some degree of permanence or stability." The court held that the legal system need not confine itself to designating property as "tangible" or "intangible"—it may also fall within an "other" category, provided the right or interest fulfills the *Ainsworth* criteria.[45]

In New Zealand, in *Ruscoe v Cryptopia Limited*,[46] the court emphasized the tradable value of crypto-assets and their use of a combination of public and private keys to secure control of the property, holding that Cryptopia held crypto-assets on trust for account holders. In Singapore, the court recognized Bitcoin as a "species of property" capable of being the subject of a trust.[47]

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[40]See, e.g., Kleiman v Wright, 2021 WL 3374516 (SD Fla 2021); SEC v Ripple Labs Inc, 2023 WL 4507900 (SDNY 2023); *In re Celsius Network LLC*, 647 BR 631 (Bankr SDNY 2023).

[41]*Celacare Technologies Inc v Circle Internet Financial LLC*, No 1:24-cv-12322 (D Mass, 12 February 2025) (allowing motion to dismiss), appeal docketed, No 25-1162 (1st Cir).

[42] Del. Code Ann. tit. 6, ss 3-104 (negotiable instruments) and 8-102(a)(4) (certificated securities).

[43] Michael A Mora, ''Novel Issues': Company, Whose CEO Sent $1M in Crypto to Wrong Wallet, Moves for Appeal' National Law Journal (18 February 2025) <https://www.law.com/nationallawjournal/2025/02/18/novel-issues-company-whose-ceo-sent-1m-in-crypto-to-wrong-wallet-moves-for-appeal/> accessed 3 August 2026.

[44]National Provincial Bank Ltd v Ainsworth [1965] AC 1175 (HL) 1248 (Lord Wilberforce).

[45]*AA v Persons Unknown* [2019] EWHC 3556 (Comm) [61]–[62] (Bryan J). See also *Fetch.ai Ltd v Persons Unknown* [2021] EWHC 2254 (Comm).

[46]Ruscoe v Cryptopia Limited (in Liquidation) [2020] NZHC 728 [118]–[121] (Gendall J).

[47]*B2C2 Ltd v Quoine Pte Ltd* [2019] SGHC(I) 03 [142] (Simon Thorley IJ), affirmed [2020] SGCA(I) 02.

Generally, courts across jurisdictions agree that cryptocurrencies can be classified as property. However, they remain hesitant to definitively categorize the specific type of property that crypto-assets represent.[48] Additionally, given stablecoins' dual status as both a means of payment and an issuer claim, it remains uncertain whether the same classification will apply to them across all jurisdictions.

2.1.4 Ownership and Control of Stablecoins on a Blockchain

Blockchain technology is lauded for providing a safe mechanism for parties with no pre-existing relationship to transact with reduced exposure to certain forms of fraud, particularly fraud by a central record-keeper, even though the technology does not eliminate fraud by counterparties or other third parties.[49] As the Report 1 demonstrated, however, stablecoins are not a monolithic category: they differ in how they are collateralized, issued, and custodied, and these structural differences directly shape the legal concept of control that is central to this report's analysis. Table 1 provides an overview of how, depending on stablecoins' type and stabilization mechanisms, the form of technical control, the ability to exclude others on-chain, the transferability of control, and the identifiability of the controller vary across the principal stablecoin types. In permissionless systems like DAI, users can have full and independent control over the collateral they deposit, which implies a high degree of technical control through cryptographic keys.[50] However, the legal recognition of this technical control as a robust property right, akin to traditional forms of ownership, is still evolving.

Under the UCC framework, "control" of a CER hinges on the individual's ability to avail themselves of the record's benefits, prevent others from doing so, transfer control, and readily identify themselves as the person in control.[51] UNIDROIT considers this "excludability" to be functionally equivalent to the possession of tangible movables.[52] However, since stablecoins are intangible, control signifies dominion and power over a digital asset without the physical aspects of possession.

[48]For a comparative survey, see Sarah Green, 'Cryptocurrencies: What Property Are They?' (2023) 139 Law Quarterly Review 232; and Law Commission, 'Digital Assets: Final Report' (n 18) ch 3.
[49]De Filippi and Wright, Blockchain and the Law (n 34) 4.
[50]MakerDAO, 'The Maker Protocol: MakerDAO's Multi-Collateral Dai (MCD) System' (Technical Documentation, 2019) <https://docs.makerdao.com> accessed 3 August 2026.
[51]UCC (n 12) s 12-105(a) (qualifying purchaser and control).
[52]UNIDROIT Principles on Digital Assets and Private Law (n 4) Principle 4, Commentary para 4.5.

Table 1: Stablecoins type and control access

Taxonomy	Form of Technical Control	Ability to Exclude Others (On-chain)	Transferability of Control	Identifiability of Controller
Self-custodied crypto-collateralized (e.g., DAI)	Private key control over wallet; smart-contract mediated collateral	High (exclusive key access)	Direct peer-to-peer transfer	Pseudonymous (address-based)
Custodial fiat-backed (e.g., USDC on exchange)	Platform controls keys; user has account access	Low (platform can freeze / rehypothecate)	Indirect—through platform instructions	High (KYC-linked account)
Regulated fiat stablecoins (segregated reserves)	Mixed: user key control (wallet) + issuer reserve control	Medium–high (depends on custody model)	Transferable on-chain but subject to compliance controls	Identifiable (regulated environment)
Offshore / contract-based fiat stablecoins (e.g., USDT)	Key-based control over tokens	High on-chain, but issuer retains redemption discretion	Transferable freely on-chain	Pseudonymous unless off-ramped
Algorithmic stablecoins (e.g., UST-type)	Key-based control only over token, not "value backing"	High (token control), but no control over stabilization mechanism	Transferable	Pseudonymous
Synthetic / derivative stablecoins	Control over token representing exposure	Limited—value depends on external mechanisms	Transferable	Pseudonymous

There is a significant gap between on-chain control and off-chain legal recognition of property rights. While a user may have technical control over their stablecoins via private keys, the legal

system must still recognize that control as legitimate ownership and provide effective remedies if that control is challenged or lost, for example, due to theft, fraud, or issuer insolvency.[53]

This gap means that the robust on-chain record of transactions and control does not automatically translate into universally recognized and enforceable property rights in the traditional sense. The uncertainty further compounds fundamental issues in property law, such as the legal validity of transfers, the enforceability of claims against third parties, the treatment of stablecoins in divorce or inheritance proceedings, and their susceptibility to seizure by law enforcement. The concept of control is also necessary for establishing the rights of an innocent acquirer of stablecoins.[54]

2.2 Conflict of Laws

The global and intangible nature of the stablecoin creates unique conflict of laws problems, ranging from the contract angle (under what law do the issuers' and users' contracts operate, the custodial relationships, and the exchange mechanisms) to the property angle (under what law does the ownership aspect of on-chain transfer operate). These questions are critical for commercial certainty in cross-border transactions and disputes involving stablecoins. A threshold question is how far these problems are specific to stablecoins rather than common to digital assets generally.

Many are not specific to stablecoins: the same situs and governing-law difficulties arise for a transfer of Ether or any other token. Stablecoins have a unique place in the overall scheme of things. Where custodial stablecoins pegged into a fiat currency are concerned, the fact that an identifiable party issues them in a particular legal jurisdiction serves as a natural starting point for considering choice-of-law and forum issues. Where programmatically issued stablecoins lacking an identifiable issuer are concerned, not so much.

2.2.1 Challenges in Determining Governing Laws

The question of which law governs assets recorded on a blockchain has long challenged courts and commentators.[55] The absence of clear conflict-of-laws rules for digital assets creates "grave legal uncertainty" for the crypto-economy, particularly in cross-border transactions, security rights, and insolvencies.[56] These difficulties stem from the incorporeal nature of cryptocurrencies and stablecoins; the evolving nature of their financial features; the use of

[53]For the gap between on-chain control and off-chain legal recognition, see Robert Herian, 'Blockchain and the (Re)imagination of Trusts Jurisprudence' (2018) 39 Statute Law Review 176; and Kelvin Low and Eloise Tai, 'Bitcoins and Other Cryptocurrencies as Property?' (2017) 9 Law, Innovation and Technology 235.
[54]UNIDROIT Principles on Digital Assets and Private Law (n 4) Principle 12 (Innocent Acquisition).
[55]For the difficulty of locating intangible digital assets for conflict-of-laws purposes, see Matthias Lehmann, 'Crypto Assets' (2019) 14 Journal of Private International Law 85.
[56]ibid 86.

pseudonymity in ownership; and the fact that transfers of value are enabled by smart contract mechanisms rather than by a registry of ownership and physical transfer. The existing rules of conflict of laws are premised on considerations such as the place of contracting, the place of performance, the domicile of the parties, or the physical presence of the property.[57]

2.2.2 The Rule of Situs

The rule of situs refers to the location of property for legal purposes. It is crucial for determining how assets are treated for tax, inheritance, and other legal matters, as well as for ascertaining the applicable conflict-of-laws rules.[58] For traditional contracts, the rule of situs is relatively straightforward. Given the intangibility of stablecoins and other digital assets with no physical location, the traditional legal framework is not well suited to resolving this question.

In response, several jurisdictions have enacted specific conflict-of-laws rules for blockchain-based assets. In the United States, UCC Section 12-107 contains a "waterfall" rule for determining the governing law for CERs, allowing parties to choose the applicable law either by selecting the competent jurisdiction or the governing law directly. This choice may be expressed within the electronic record itself, in an attached record, or in the system in which the asset is recorded.[59] This rule has been transposed into the law of a growing number of US states. As an example of how issuers implement this in practice, Gemini includes the following governing-law provision in its User Agreement:[60]

> This User Agreement, your use of Gemini, your rights and obligations, and all actions contemplated by, arising out of or related to this User Agreement shall be governed by the laws of the State of New York, as if this User Agreement is a contract wholly entered into and wholly performed within the State of New York. YOU AGREE THAT ALL ORDERS, TRADES, DEPOSITS, WITHDRAWALS, OR SALES ON GEMINI AND CONTEMPLATED ACCORDING TO THE TERMS OF THIS USER AGREEMENT SHALL BE DEEMED TO HAVE OCCURRED IN THE STATE OF NEW YORK AND BE SUBJECT TO THE INTERNAL LAWS OF THE STATE OF NEW YORK WITHOUT REGARD TO ITS CONFLICTS OF LAWS PROVISIONS.

Internationally, UNIDROIT has adopted a principle addressing conflict of laws for digital assets, aiming for a uniform approach. Other jurisdictions, including Germany, Switzerland, and Liechtenstein, have adopted dedicated statutes.[61]

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[57]UNIDROIT Principles on Digital Assets and Private Law (n 4) Principle 11, Commentary paras 11.1–11.2.

[58]Lawrence Collins and others (eds), Dicey, Morris and Collins on the Conflict of Laws (16th edn, Sweet & Maxwell 2022) rr 127–128.

[59]UCC (n 10) s 12-107 (governing law for controllable electronic records).

[60]Gemini Trust Company LLC, 'User Agreement' (version current as of 2024), Governing Law clause.

[61]UNIDROIT Principles on Digital Assets and Private Law (n 4) Principle 11; Gesetz uber elektronische Wertpapiere (eWpG) (Germany, 2021); Blockchain Act (Liechtenstein, 2020); Swiss Federal DLT Act (2021).

In England, in the absence of an express choice of law, the location of the crypto-asset is unlikely to determine jurisdiction or the applicable law in a cross-border contractual dispute. The test is whether the asset has the closest and most real connection to a particular legal system. In *Ion Science Ltd v Persons Unknown*,[62] the English Court considered the situs of Bitcoin and the appropriate forum for adjudication of an alleged ICO fraud. The claimants, an English company and its owner, alleged that a Swiss financial entity had fraudulently induced them to invest 64.35 Bitcoin. Butcher J held that the lex situs of a crypto-asset is the place where the person who owns it is domiciled. England was therefore the situs, and the appropriate forum. The decision is first instance and unreported, so the weight it can bear is correspondingly limited.

In the European Union, the conflict-of-laws analysis is more complex. Under Article 7(1) of the Brussels I Recast Regulation, jurisdiction in contracts involving stablecoins hinges on whether stablecoins are considered "goods" and their provision a "service," and, if so, the location of delivery or provision in the absence of a contractual provision.[63] Where third-party custodians or wallet-service providers are involved, contracts involving stablecoins may qualify as consumer contracts, in which case the consumer's habitual residence becomes the key factor for determining jurisdiction in EU courts.[64]

2.2.3 Autonomy in Choice of Law for Digital Assets

The principle of party autonomy is increasingly recognized as a key factor in determining the governing law for digital assets, as reflected in UCC Section 12-107(c)(1)–(4).[65] This allows parties to contractually specify the legal system that will govern their stablecoin transactions and related smart contracts, providing a degree of predictability in an otherwise uncertain landscape.

The emergence of certain conflict-of-laws rules, adopted at the national level and by international bodies, shows that, despite the global, intangible nature of stablecoins, legal systems are actively trying to determine the governing law to resolve conflicts. This creates an inherent contradiction: on the one hand, technology enables global, permissionless interaction, whereas certainty and dispute resolution require a clear legal regime to determine the parties' rights and duties.[66] As a result, the global nature of stablecoins is practically constrained by national legal frameworks.

To safeguard consumers, jurisdictions adopting payment-stablecoin regimes could require approved issuers to clearly and publicly disclose the governing law and forum specified in their

[62]Ion Science Ltd v Persons Unknown (unreported, 21 December 2020) (Commercial Court, Judge Butcher).
[63]Regulation (EU) No 1215/2012 (Brussels I Recast) [2012] OJ L351/1, art 7(1)(b).
[64]ibid, arts 7(1) and 17–19 (consumer contracts).
[65]UCC s 12-107(c)(1)–(4) (n 59).
[66]For forum shopping risks, see EBA, 'Report on Crypto-Assets' (January 2019) 43–45; FSB (n 1) 31–33.

standard terms. It is pertinent to mention that the issuer-side designation is distinct from the party autonomy discussed above (choice of law), under which the parties to a particular transaction select the applicable law between themselves. The concern here is the law and forum that the issuer itself fixes for all holders, rather than the substantive method of commercial-law treatment addressed in Section 2.1.[67] The UCC offers several options for this purpose:

- The state law of a CER's jurisdiction governs matters related to Article 12, including perfection, effects of perfection or non-perfection, and priority of security interests.
- If a CER specifies a jurisdiction, or if its underlying system does, that jurisdiction applies.
- If neither specifies a jurisdiction but the CER explicitly states it is governed by a particular jurisdiction, that jurisdiction applies. If all else fails, the jurisdiction is the District of Columbia.

In reality, many custodial issuers already embed a governing law clause in their terms and conditions (the Gemini terms discussed above provide an example), and such an arrangement can serve as a commercial incentive for them even if it is not legally binding. Thus, it makes sense to describe the requirement to disclose information about the governing commercial law as the basic requirement that reflects current good practice, rather than as an additional obligation. This requirement is also relevant to other jurisdictions that decide to regulate stablecoins.

3. Regulation

In general, financial transactions raise significant risks that are not always effectively addressable through private law. For this reason, financial services are subject to significant administrative regulation worldwide. These regulations impose special obligations on certain market participants, including licensing and conduct requirements; establish oversight mechanisms; address public-interest concerns; and address illicit activity. Unlike private law, which is largely composed of broad legal doctrines applied to specific activities, regulation involves focused legislative enactments and administrative agencies. In the context of stablecoins, this includes regimes in several countries that expressly define what forms of stablecoins are legally approved, and how those stablecoins must operate.

3.1 The Current Landscape of Regulated Stablecoins

In all the jurisdictions mentioned, including the United States, the European Union, the United Kingdom, Singapore, Hong Kong, Japan, and the United Arab Emirates, the regulatory

[67] Uniform Law Commission, 'Summary: 2022 Amendments to the UCC' (2022) 4–5.

frameworks primarily specify off-chain fiat-backed stablecoins, particularly those collateralized with fiat currency or other highly liquid financial assets (**Appendix A**). By contrast, there are several types of stablecoins described in the prior report of this project, that is, algorithmic, synthetic, and crypto-collateralized models, that fall outside the purview of these regimes, or, in some cases, are outright banned.

In the United States, the GENIUS Act regulates "payment stablecoins," defined as digital assets designed for payments and redeemable at a fixed monetary value backed by reserve assets. In other words, the regulation applies specifically to single-currency stablecoins (such as tokens backed 1:1 with US dollar reserves or other permitted liquid assets). The existing stablecoin regulations in Singapore, Hong Kong, and Japan also address this category of stablecoins that have redeemable claims against fiat reserves held by regulated issuers. Singapore's framework explicitly targets single-currency stablecoins (SCS) pegged to the Singapore dollar or G10 currencies, while Japan's amended PSA recognizes stablecoins as Electronic Payment Instruments (EPIs) redeemable at par value.

The EU's MiCA adopts a slightly broader taxonomy but still focuses on reserve-backed models. MiCA distinguishes between E-Money Tokens (EMTs), which are stablecoins backed by a single currency, and Asset-Referenced Tokens (ARTs) backed by multiple currencies, commodities, or other asset types. The taxonomic definition adopted in this research classifies EMTs as stablecoins backed by a single currency, whereas ARTs encompass several other types.

Similarly, emerging frameworks adopted in the United Kingdom and the United Arab Emirates revolve around stablecoins within the payment system, based on price-stability arrangements. Issuers are required to have segregated reserves and redemption rights as well as to obtain regulatory approval. From these regimes, one can note that stablecoins with identifiable off-chain assets and payment functions form the core regulatory concern. These regimes treat stablecoins as quasi-monetary instruments.

Other stablecoin models, such as algorithmic stablecoins, tokens that maintain price stability through supply-adjustment mechanisms rather than collateral reserves, are typically excluded from most stablecoin regulatory frameworks. For instance, the definition of payment stablecoins under the GENIUS Act includes assets with reserve backing and therefore excludes algorithmic systems from the legislative framework. Hong Kong achieves the same result by definition rather than by prohibition: because a fiat-referenced stablecoin must be fully backed, arrangements that maintain value through an algorithmic mechanism fall outside the regulated category altogether. The treatment of algorithmic, crypto-collateralized, and synthetic designs across each regime is set out jurisdiction by jurisdiction in **Appendix A**. In the European Union, the MiCA regulations do not expressly prohibit the use of algorithmic stablecoins; however, their reserve and redemption requirements make such designs incompatible with the regulatory framework.

Similarly, crypto-backed stablecoins, which operate with overcollateralized cryptocurrencies, tend to fall outside the regulatory definitions specifically curated for fiat-referenced payment tokens. This is because these systems use on-chain rather than off-chain collateral.

Finally, synthetic stablecoins, which are pegged using derivatives or financial engineering rather than direct asset backing (such as Ethena's USDe), are largely absent from existing regulatory definitions. Most jurisdictions have adopted functional definitions that implicitly exclude such structures, focusing instead on tokens that represent direct claims on reserve assets.

Nonetheless, these stablecoins exist. Report 1 shows that some tokens have substantial market values and may represent elements of the crypto-asset economy that remain independent of the regulated global financial system. Perhaps certain jurisdictions will expressly regulate them in the future, raising cross-border questions when other jurisdictions don't. Or perhaps, as today, these stablecoins will exist because jurisdictions tolerate their use without clear regulatory obligations. The open question is whether those nations adopting stablecoin regulatory frameworks will crack down on other models, for example, by declaring them illegal or by cutting off engagement with regulated financial entities and banks. At this point, the answer is unclear.

3.2 Key Regulatory Considerations

The regulation of stablecoins implicates a broad range of objectives: protecting holders against issuer insolvency and operational failure; maintaining macroeconomic and financial stability; preventing financial crime; and ensuring that regulatory requirements are applied consistently across issuers regardless of their jurisdiction of incorporation. The macro-prudential regulatory objectives aim to curb risks emerging from the financial system and prevent systemic risk.

From the micro-prudential regulatory standpoint, the regulatory designs generally have four key considerations: first, they ensure that every issued stablecoin is fully backed by suitable, high-quality reserve assets, thereby giving holders confidence in their ability to redeem at par. Regulators usually mandate a 100% reserve requirement, in which the backing assets are segregated from the issuer's own funds.

The second objective is to mitigate risk involving regular checks and verifications to ensure the adequacy and quality of reserve assets. Within the scope of applicable regulatory and operating conditions, regulators mandate periodic independent audits by third parties, usually monthly.

The third approach includes building a supervisory system that prevents operational failures and takes measures to contain localized problems from aggravating. Finally, at the level of the individual firm, micro-prudential objective extends to recovery and resolution planning, so that the failure of a single issuer can be managed without disorderly liquidation of its reserves. The

identification of systemic risk and of spillovers across the financial system belongs to the macro-prudential perspective described above.

With these regulatory considerations in mind, this section organizes the principal regulatory considerations around two parallel frameworks—the US regulatory framework in Section 3.3, and the cross-country comparative framework in Section 3.4—addressing the same three thematic areas in each: legal certainty as to redemption rights; macro-prudential oversight; and micro-prudential oversight, within which the licensing regime, consumer protection, and financial crime are treated in turn.

The parallel structure between the United States and other jurisdictions is intended to facilitate direct comparison of the regulatory approaches and to highlight the points of divergence that create regulatory arbitrage opportunities and legal uncertainty in cross-border stablecoin transactions. The two frameworks are treated separately, rather than country by country, for two reasons. The United States is set on its own course because the GENIUS Act, although enacted after MiCA, governs the issuers responsible for the majority of stablecoin transaction volume, while the largest issuer by outstanding value, Tether, remains outside the perimeter altogether; its provisions therefore warrant close individual treatment. The second grouping is not a harmonized regime: the major non-US jurisdictions have not adopted a single common standard. Rather, this Section draws together their separate stablecoin frameworks and identifies the structural features they share and the points on which they diverge, an approach that is more informative than describing each jurisdiction in turn.

3.3 The US Regulatory Framework

The GENIUS Act established the first federal regulation of payment stablecoins. In conjunction with the Digital Asset Market Clarity (CLARITY) Bill introduced that week,[68] the United States demonstrated a deliberate and coordinated legislative policy to establish private stablecoins as the primary instrument of the country's digital dollar policy. In light of the Act, each of the five important issues in the regulation mentioned will be discussed below.

3.3.1 Legal Certainty as to Redemption Rights

In April 2025, the Securities and Exchange Commission (SEC) defined "Covered Stablecoins" as fully reserved, USD-pegged, redeemable at par, and not marketed for investment or yield- not offered or sold as securities; the statement expressly excludes algorithmic and yield-bearing stablecoins.[69] In the same statement, Commissioner Caroline Crenshaw, dissenting from the

[68]The Digital Asset Market Clarity (CLARITY) Act, H.R.3633, 119th Congress. The Bill passed the House on 17 July 2025 and was advanced by the Senate Banking Committee on 14 May 2026 but was not enacted as of July 2026.

[69] See SEC, Division of Corporation Finance, 'Statement on Stablecoins' (4 April 2025) <https://www.sec.gov/newsroom/speeches-statements/statement-stablecoins-040425> accessed 3 August 2026.

Division of Corporation Finance's statement, observed that approximately 90% of USD stablecoins circulate through intermediaries rather than through direct issuer-to-retail distribution channels.[70] Consequently, retail holders generally would possess no direct redemption rights against issuers and no direct claims to the reserve assets.[71] Under the Biden Administration, the SEC's Staff Accounting Bulletin No. 121 imposed an accounting requirement on custodians to include liabilities for custodied crypto-assets on their balance sheets. That requirement was a major roadblock to institutional custody; the SEC rescinded SAB 121 through Staff Accounting Bulletin No. 122 in January 2025, and the GENIUS Act has since placed the position on a statutory footing.[72]

At the state level, the New York Department of Financial Services (NYDFS) had already required issuers under its supervision to maintain pre-approved, clear, and timely redemption policies granting all holders the right to redeem at par.[73]

The GENIUS Act requires permitted issuers to establish and publish redemption procedures at the federal level, although it does not fix a redemption timeframe and leaves open whether holders who acquire stablecoins through intermediaries, rather than from the issuer, enjoy a direct right of redemption; removes required reserves from the bankruptcy estate; gives holders a first-priority claim to those reserves; and accords super-priority to any shortfall remaining after an initial distribution in the issuer's bankruptcy. The Act also provides commercial law clarity by excluding payment stablecoins from the definitions of "security" under the Securities Act of 1933, the Exchange Act, the Investment Company Act, the Investment Advisers Act, and the Securities Investor Protection Act, and from the definition of "commodity" under the Commodity Exchange Act, resolving years of regulatory uncertainty as to which agency, if any, had primary jurisdiction over stablecoin issuance.[74]

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[70] Daniel J Davis and Alexander C Kim, 'SEC Provides Stablecoin Guidance Amid Legislative Developments' (National Law Review, 7 April 2025) <https://natlawreview.com/article/sec-provides-stablecoin-guidance-amid-legislative-developments> accessed 3 August 2026.

[71] ibid.

[72]The GENIUS Act (n 27) s 16(c)(1) prohibits federal banking agencies, the NCUA, and the SEC from requiring institutions to record custodied stablecoins as liabilities on their balance sheets, placing on a statutory footing the position already reached administratively when the SEC rescinded SAB 121 by Staff Accounting Bulletin No 122 (23 January 2025).

[73]New York Department of Financial Services (NYDFS), 'Guidance on USD-Backed Stablecoins' (updated January 2023).

[74]Section 4 requires 1:1 reserve backing in: US coins and currency; demand deposits at insured depository institutions; Treasury bills with maturity of 93 days or less; Treasury-backed overnight repurchase agreements; and shares in money market funds investing exclusively in such assets. Section 11 excludes required payment stablecoin reserves from property of the estate (amending 11 USC s 541(b)), confers on holders a priority over those reserves, and accords super-priority under 11 USC s 507 to any shortfall remaining after an initial distribution. On the tension between these provisions, and on the classes that may in practice rank ahead of holders, see Adam Levitin, 'Sorry to Break It to You Geniuses: Under the GENIUS Act the Holders of Stablecoins Actually Have Fifth Priority in an Issuer Bankruptcy' (Credit Slips, 2 December 2025) and the response of Alexandra Steinberg Barrage in the comments to that post (9 December 2025). Section 17 excludes payment stablecoins from the definitions of 'security' under the Securities Act of 1933, the Exchange Act, the Investment Company Act of 1940, the Investment Advisers Act of 1940, and the Securities Investor Protection Act of 1970, and from the definition of 'commodity' under the Commodity Exchange Act. See Covington & Burling, 'The GENIUS Act Becomes Law: Key Provisions from the Federal Stablecoin Regulatory Framework'(25 July 2025) <https://www.cov.com/news-and-insights/insights/2025/07/the-genius-act-becomes-law-key-provisions-from-the-federal-stablecoin-regulatory-framework>

On its face, this brings the GENIUS Act close to the statutory trust structures operative in Japan (the trust-type model) and Hong Kong, under which holders have a proprietary beneficial interest in reserve assets that cannot be touched by insolvency under the force of law. Two differences nevertheless remain. First, the Act's insolvency provisions are in tension with one another: if required reserves are excluded from the estate, it is unclear what the priority conferred elsewhere in section 11 operates upon, or whether the court retains jurisdiction to order the expedited distribution the Act contemplates. Second, commentators have argued that holders may, in practice, rank behind repo and margin counterparties, debtor-in-possession lenders, professional-fee carve-outs and setoff claims arising under the custodial-services exception to the pledging prohibition, so that a nominal first priority operates well down the queue and distributions are delayed. The practical strength of the US model, therefore, turns on how these provisions are read, rather than on any absence of a proprietary interest. This has direct consequences for the use of stablecoins as collateral, as discussed in Section 2.1 of this report. **Appendix C** sets out the comparative insolvency position of holders under each of these regulated models.

3.3.2 Macro-Prudential Oversight

The principal macro-prudential concern in the United States is the risk of a stablecoin run—a simultaneous mass redemption event triggered by a loss of confidence in the issuer's solvency or the adequacy of its reserves—that could spill over into money market and short-term Treasury markets if reserve liquidation is forced at scale. This risk was identified by the Financial Stability Oversight Council (FSOC) as a priority systemic concern following the collapse of TerraUSD/Luna in May 2022.[75]

To address systemic risks posed by payment stablecoins, the GENIUS Act adopts a multi-layered regulatory structure in which any issuer whose consolidated outstanding issuance exceeds US$50 billion must prepare annual financial statements audited by a registered public accounting firm in accordance with Public Company Accounting Oversight Board (PCAOB) standards and publish them. Separately, issuers may be designated as systemically important through the ordinary Financial Stability Oversight Council process and made subject to enhanced prudential regulation, including liquidity stress tests and resolution planning.[76] In addition, the proposed CLARITY Act includes a macro-prudential component regarding stablecoin trading facilities, in which any Commodity Futures Trading Commission (CFTC)-

accessed 3 August 2026; Latham & Watkins, The GENIUS Act of 2025: Stablecoin Legislation Adopted in the US' (24 July 2025) <https://www.lw.com/en/insights/the-genius-act-of-2025-stablecoin-legislation-adopted-in-the-us> accessed 3 August 2026.

[75]Financial Stability Oversight Council (FSOC), 'Report on Digital Asset Financial Stability Risks and Regulation' (October 2022) 25–30. FSOC identifies stablecoin run risk as a priority systemic concern. See also Federal Reserve Board of Governors, 'Stablecoins: Growth Potential and Impact on Banking' (FEDS Notes, 2022).

[76]GENIUS Act (n 27) s 17.

registered crypto-commodities will be required to maintain capital, margin, and liquidity requirements comparable to those applicable to futures commission merchants.[77]

3.3.3 Micro-Prudential Oversight

A. Licensing Regime

The GENIUS Act streamlines the highly fragmented current licensing scheme by creating a federal license for payment stablecoin issuers. Issuance of such stablecoins is limited only to: (i) subsidiaries of depository institutions that are insured; (ii) non-bank institutions regulated by Office of the Comptroller of the Currency (OCC) under the new federal license; and (iii) state-chartered institutions that adhere to the federal standards set by Congress. Issuance of stablecoins by any public corporation not engaged in the financial services industry is prohibited unless it receives unanimous approval from the Stablecoin Certification Review Committee. The US entry requirements are compared with those of the other principal regimes in **Appendix B**.[78]

The CLARITY Act further enhances the provisions of the GENIUS Act by considering the overall framework for the digital asset markets. It is intended to resolve the historical confusion surrounding the roles of the SEC and CFTC in regulating digital assets. Specifically, the Act grants the CFTC exclusive regulatory jurisdiction over spot trading of digital commodities, whereas the SEC retains the power to regulate digital asset securities and investment contract assets, as well as anti-fraud and anti-manipulation powers over stablecoin and digital commodity transactions conducted through SEC-registered venues. Further, the CLARITY Act makes it incumbent upon the SEC to permit registered broker-dealers and exchanges to engage in transactions involving payment stablecoins.[79]

A major area of contention regarding the CLARITY Act is whether stablecoin distributors should be permitted to offer incentives to purchase or hold stablecoins. The GENIUS Act prohibits issuers from offering yield or interest directly to holders. As discussed in Report 1 of the Stablecoin Toolkit, yield is an inherent reality of custodial stablecoins in a non-zero interest-rate environment, although who benefits from that yield remains an open question. The common US structure today, preserved under the GENIUS Act, is that an issuer such as USDC does not distribute the yield it earns on its assets directly to purchasers, but may split the yield with other firms, such as exchanges that pass some of it on. have pushed hard that such agreements will undermine the banking and lending system by siphoning funds from lower-

[77]The CLARITY Act (n 68) s 401 (section references are to the bill as introduced and remain subject to change).
[78]GENIUS Act (n 27) s 2 defines 'permitted payment stablecoin issuers' as: (i) subsidiaries of insured depository institutions regulated by a federal banking agency; (ii) nonbank institutions supervised by the OCC under a new federal payment stablecoin issuer charter; and (iii) state-chartered entities subject to federally imposed standards or substantially similar state regimes. Non-financial services public companies and their foreign equivalents are prohibited from serving as PPSIs unless they receive unanimous approval from the newly created Stablecoin Certification Review Committee (SCRC), chaired by the Secretary of the Treasury.
[79]CLARITY Act (n 68) ss 301–313.

yielding deposit accounts. At this time, drafts of the CLARITY Act would restrict incentives to holding stablecoins but would allow certain forms of distribution benefits.

With respect to reserves and risk management, the GENIUS Act calls for 1:1 reserve coverage in a well-defined pool of high-quality liquid assets, which must be segregated from the issuer's own funds and disclosed to the public on a monthly basis, as attested by the issuer's chief financial officer. A significant gap in the current regime concerns the treatment of foreign countries' issuance of stablecoins. In this case, foreign-issued stablecoins are allowed in the United States under section 18, subject to a comparability determination by the Secretary of the Treasury (on the recommendation of the other members of the Stablecoin Certification Review Committee), registration with the OCC, and the maintenance of US-held reserves sufficient to meet US customer demand. Critics have argued that the comparability standard, as drafted, is less stringent than the domestic criteria imposed on a US Permitted Payment Stablecoin Issuer (PPSI), creating a "foreign issuer loophole".[80]

A distinctive feature of the US approach, with no direct parallel in any other major jurisdiction's regulatory framework, is the Anti-CBDC Surveillance State Act (hereinafter the Anti-CBDC Act), which passed the House of Representatives on 17 July 2025 but has not been enacted by the Senate. The Anti-CBDC Act is designed to establish a deliberate legislative choice to channel US digital dollar development exclusively through regulated private stablecoin issuers rather than through a public digital currency infrastructure. The Act proposes amendment to Section 16 of the Federal Reserve Act to impose four specific prohibitions: (i) Federal Reserve banks may not offer any product or service directly to individuals or maintain individual accounts; (ii) the Federal Reserve, its Banks, and the Federal Open Market Committee may not issue, pilot, test, or implement any central bank digital currency or substantially similar digital asset; (iii) neither the Federal Reserve Board nor the Treasury may issue a CBDC without explicit Congressional authorization; and (iv) a CBDC may not be used to implement monetary policy. The Act expressly preserves dollar-denominated currencies that are open, permissionless, and private—a carve-out designed specifically to protect private stablecoins from the prohibition's scope.[81]

[80]GENIUS Act (n 27) s 4(d) requires monthly public disclosure of reserve composition, certified by the issuer's CFO, to be filed with the relevant federal or state regulator and published on the issuer's website. The foreign issuer mechanism in s 18 permits foreign-issued stablecoins to circulate in the United States subject to a comparability determination by the Secretary of the Treasury on the recommendation of the other members of the Stablecoin Certification Review Committee, registration with the OCC, and the maintenance of reserves in a US financial institution sufficient to meet the liquidity demands of US customers. Critics — including Circle CEO Jeremy Allaire in Senate Banking Committee testimony (26 February 2025) — have argued the comparability standard is weaker than domestic PPSI requirements, creating a 'foreign issuer loophole.' See also Arnold & Porter, 'New Stablecoin Legislation: Analyzing the GENIUS Act' (July 2025) <https://www.arnoldporter.com>.

[81] Anti-CBDC Surveillance State Act, H.R.1919, 119th Congress, passed by the House of Representatives on 17 July 2025 by 219-210 and not enacted by the Senate as of July 2026; House Financial Services Committee, 'Section-by-Section: Anti-CBDC Surveillance State Act' (July 2025) <https://financialservices.house.gov/uploadedfiles/2025-07-10_--_sbs_anti-cbdc_surveillance_state_act_final.pdf> accessed 3 August 2026; White House, Statement of Administration Policy on H.R.1919 (15 July 2025) <https://www.whitehouse.gov/wp-content/uploads/2025/07/SAP-HR1919.pdf> accessed 4 August 2026.

B. Consumer Protection

As discussed in Section 2.1.1, the principal consumer protection framework applicable to electronic payments in the United States is the EFTA. However, it remains unclear whether stablecoin transactions constitute "electronic fund transfers" under the EFTA, and the GENIUS Act does not resolve this question. As a result, stablecoin users currently lack the statutory error-resolution protections available to holders of conventional electronic payment instruments.

A related consumer protection concern is that major issuers like Circle (USDC) and Tether (USDT) can freeze stablecoin balances in response to OFAC sanctions orders or law-enforcement requests. There is no standardized legal process governing the freeze or providing a clear remedy for an affected holder. Neither the GENIUS Act nor the CLARITY Act establishes a specific procedure for disputes regarding balance freezes on the part of the holders of stablecoins. The CLARITY Act's requirement that broker-dealers and other exchanges disclose to customers how their digital asset holdings are treated in insolvency and regulatory proceedings is a partial step toward transparency but falls short of an affirmative remedial framework.[82]

C. Financial Crime

The GENIUS Act preserves and extends the existing Bank Secrecy Act (BSA)/Anti-Money Laundering (AML) framework: stablecoin issuers must comply with applicable BSA obligations, maintain transaction monitoring programs, and file suspicious activity reports (SARs). FinCEN's Travel Rule, mandating that service providers pass along origin and destination information for transactions, continues to apply to virtual asset transfers exceeding US$ 3,000. OFAC remains responsible for sanctions compliance, requiring issuers and exchanges to screen transactions and wallet addresses against the Specially Designated Nationals (SDN) list and to block transfers involving designated parties. The Fifth Circuit's decision in the *Van Loon* case, holding —on appeal, reversing the district court, which had upheld the designation—that OFAC's designation of immutable Tornado Cash smart contracts exceeded its statutory authority, creates ongoing uncertainty about the scope of OFAC's jurisdiction over autonomous stablecoin protocols, a question that neither the GENIUS Act nor the CLARITY Act directly addresses.[83] Following that decision, Treasury delisted Tornado Cash in March 2025.

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[82]The GENIUS Act (n 27) does not establish a statutory dispute resolution mechanism for balance freezes. Circle (USDC) and Tether (USDT) can freeze balances in compliance with OFAC orders and law enforcement requests without a standardized legal process for affected holders. On the absence of error resolution protections, see President's Working Group on Financial Markets, the FDIC, and the OCC, 'Report on Stablecoins' (November 2021) 16–18.

[83]FinCEN, Guidance FIN-2019-G001 (9 May 2019) (applying BSA money transmitter requirements to convertible virtual currency businesses). FinCEN Travel Rule threshold: USD 3,000 for virtual asset transfers. GENIUS Act (n 27) s 8 requires PPSIs to comply with applicable BSA/AML obligations, maintain transaction monitoring programs, and file SARs. OFAC, Specially Designated Nationals list: digital currency addresses added following the Tornado Cash designation (August 2022). In *Van Loon v Department of the Treasury*, 118 F 4th 719 (5th Cir 2024), the Fifth Circuit held that OFAC's designation of immutable

The CLARITY Act would introduce additional dimensions of financial crime by imposing AML requirements on CFTC-registered digital commodity intermediaries. Registered digital commodity exchanges, brokers, and dealers will need to implement AML programs that comply with the BSA guidelines. Coordination and examination of such programs will fall within the CFTC's purview. Formal oversight of crypto-intermediaries under the BSA framework could reduce regulatory disparities among stablecoin issuers subject to BSA money-transmitter obligations.

3.4 Cross-Country Regulatory Frameworks

For the purpose of this section, outside the United States, this report examines three prominent frameworks: the EU's MiCA regulation, Japan's amended PSA, and Hong Kong's Stablecoins Ordinance. Additionally, Singapore's MAS regulatory measures and the UK's Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 (hereinafter the UK's Cryptoassets Regulations) are considered the most notable examples of international stablecoin regulation. While each framework reflects national institutional context and legal tradition, they share a common set of structural features: mandatory par-value reserve backing; statutory or contractual insolvency remoteness of reserve assets; and enforceable holder redemption rights. The following sub-sections address each of the five key regulatory considerations across these frameworks comparatively, highlighting areas of convergence and remaining divergence. The underlying jurisdiction-by-jurisdiction detail is tabulated in **Appendix A** (regulatory perimeter and definitions) and **Appendix B** (micro-prudential oversight).

3.4.1 Legal Certainty as to Redemption Rights

The EU's MiCA regulation provides the most explicit statutory basis for redemption rights among international frameworks for large-scale retail stablecoins. The MiCA framework mandates that EMT issuers enable redemption at par value at any time upon request, and that redemption of reserve assets at par value be possible in the case of ART. EMT issuers must be authorized as credit institutions or e-money institutions, which implies that stablecoin holders inherit the redemption protections and insolvency treatment applicable to e-money holders under EU law.[84]

Japan's framework under the amended PSA provides a robust insolvency protection for holders among all currently enacted frameworks, due to its trust-type model. Under this model, stablecoins issued as Trust Beneficiary Interests give the holders a proprietary beneficial interest in reserve assets that are insolvently remote by operation of the Trust Act, without a monetary

Tornado Cash smart contracts exceeded its statutory authority, with ongoing implications for OFAC jurisdiction over autonomous stablecoin protocols.

[84]MiCA (n 27) art 49(1) (EMT holders may redeem at par on request at any time) and art 39 (ART holders' right of redemption). EMT issuers must be authorized as credit institutions or e-money institutions: MiCA art 48(1).

cap. Holders' rank above the issuer's general creditors need not rely on bankruptcy priority rules to recover their assets. For bank-issued stablecoins under the deposit-type model, protection is limited to JPY 10 million per holder under the Deposit Insurance Act, the same as for conventional bank deposits.[85]

Hong Kong's Stablecoins Ordinance provides the most detailed statutory articulation of holder rights in insolvency of any jurisdiction. Holders have an absolute right to par-value redemption within one business day, a direct right to pro rata disposal of reserve assets in insolvency, and a residual claim against the issuer for any shortfall if reserve assets are insufficient.[86] Singapore requires SCS issuers to return the par value within 5 business days and to maintain reserve structures that protect holders from creditor claims in the event of insolvency.[87] The UK's framework goes further than MiCA in one respect: the Financial Conduct Authority (FCA)'s statutory trust proposal would give holders a proprietary claim over backing assets without requiring stablecoins to be classified as e-money. Redemption timeframes across all the regimes surveyed are compared in **Appendix A**, and the corresponding insolvency positions in **Appendix C**.[88]

3.4.2 Macro-Prudential Oversight

At the international level, the FSB has taken the lead in defining macroprudential standards for stablecoins. The FSB defines a "Global Stablecoin" (GSC) as an arrangement with potential reach and adoption across multiple jurisdictions that could render it systemically important and recommends that GSC arrangements comply with prudential requirements comparable to those applicable to systemically important financial institutions.[89]

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[85]Payment Services Act (Act No 59 of 2009, as amended) (Japan), art 2(5). Three-model protection: (i) deposit-type: Deposit Insurance Act (Law No 34 of 1971) up to JPY 10 million; (ii) claims-type:100% liquid reserves under PSA art 43-3; (iii) trust-type: Trust Beneficiary Interests under Trust Act (Act No 108 of 2006), insolvency-remote by operation of law, no monetary cap.

[86]Stablecoins Ordinance (Cap 656) (Hong Kong), in force 1 August 2025 (right to par-value redemption; direct right to pro rata disposal of reserve assets in insolvency; residual claim against issuer for any shortfall). The expectation that valid redemption requests be processed within one business day, absent HKMA consent to a longer period, is supervisory rather than statutory: HKMA, 'Draft Guideline on Supervision of Licensed Stablecoin Issuers' (Consultation Paper, 26 May 2025).

[87]MAS Notice PSN08 (Payment Services (Stablecoin-related Activities) Regulations 2023): SCS issuers must return par value within five business days of a redemption request and maintain 100% reserve backing in legally segregated structures: MAS, 'MAS Finalises Regulatory Measures for Stablecoins' (Press Release, 15 August 2023) <https://www.mas.gov.sg/news/media-releases/2023/mas-finalises-stablecoin-regulatory-framework> accessed 4 August 2026.

[88]FCA, CP25/14: Stablecoin Issuance and Cryptoasset Custody (28 May 2025), paras 3.1–3.45 (statutory trust proposal for backing assets). The Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 (SI 2026/102) exclude qualifying stablecoins from the Electronic Money Regulations 2011, meaning they are not classified as e-money under UK law. Made on 4 February 2026 and coming into force on 25 October 2027; qualifying stablecoins are excluded from the Electronic Money Regulations 2011 and so are not treated as e-money under UK law.

[89]FSB, 'Regulation, Supervision and Oversight of "Global Stablecoin" Arrangements: Final Report and High-Level Recommendations' (13 October 2020) 6–8 <https://www.fsb.org/uploads/P131020-3.pdf> accessed 3 August 2026.

MiCA operationalizes this through quantitative significance thresholds that trigger enhanced supervision by the European Banking Authority (EBA), quarterly liquidity stress testing, enhanced capital buffers, and an interoperability obligation for issuers meeting at least three of seven criteria, including a customer base exceeding 10 million holders or reserve assets exceeding EUR 5 billion.[90] At the international infrastructure level, the Bank for International Settlements Committee on Payments and Market Infrastructures (BIS-CPMI) and International Organization of Securities Commissions (IOSCO) recommend that systemically important stablecoin arrangements be subject to the full suite of Principles for Financial Market Infrastructures.[91]

A common thread across all frameworks, including the GENIUS Act's US$50 billion systemic review threshold, is concern about stablecoin run risk and the potential for forced reserve liquidation at scale to disrupt sovereign bond or money markets. The enactment of the GENIUS Act, with its restrictions on reserve composition and public disclosure requirements, reduces but does not eliminate this risk for US-issued stablecoins.

3.4.3 Micro-Prudential Oversight

A. Licensing regime

In major international jurisdictions, licensing authority is vested in the central financial regulatory body. MiCA designates National Competent Authorities (NCAs) as the primary authorizing bodies for ART and EMT issuers, with the EBA overseeing significant issuers. The January 2025 enforcement action issued by the European Securities and Markets Authority (ESMA), requiring crypto asset service providers (CASPs) to delist non-MiCA-compliant stablecoins by the end of Q1 2025, demonstrated both the enforceability and the market impact of the EU licensing regime.[92] In the United Kingdom, the FCA will authorize qualifying stablecoin issuers under the Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026, while the Bank of England will oversee systemic stablecoins.[93] Singapore's MAS licenses SCS

[90]MiCA (n 27) arts 43–45 (significant ARTs) and arts 56–58 (significant EMTs). Significance thresholds include: customer base exceeding 10 million; reserve assets or market capitalization exceeding EUR 5 billion; daily transaction volume exceeding 2.5 million transactions or EUR 500 million. Significant issuers: direct EBA supervision, quarterly stress tests, enhanced capital buffers, interoperability obligation.

[91]BIS CPMI and IOSCO, 'Application of the Principles for Financial Market Infrastructures to Stablecoin Arrangements' (October 2021). For systemically important stablecoin arrangements, full PFMI compliance is recommended, including legal certainty, settlement finality, and default management requirements.

[92]MiCA (n 27) arts 16–35 (ART authorization) and arts 48–58 (EMT authorization); EBA as supervisor for significant issuers: art 43(2), Title VII (starting at art 117). ESMA public statement (January 2025): CASPs required to de-list non-MiCA-compliant ARTs and EMTs by end of Q1 2025, resulting in USDT de-listing from major EU exchanges.

[93]FCA CP25/14 (n 88); Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 (SI 2026/102) (regulated activity of 'issuing a qualifying stablecoin'; in force 25 October 2027). Bank of England, 'Proposed Regulatory Regime for Systemic Stablecoins' (Consultation Paper, November 2025): dual regulation model, proposed transitional holding limits of GBP 20,000 per individual and GBP 10 million per business. The FCA published its final rules and guidance on 30 June 2026 (authorization window opening 30 September 2026; regime effective 25 October 2027). The Bank of England and FCA

issuers as Major Payment Institutions, and the Hong Kong Monetary Authority (HKMA) is the sole licensing authority for fiat-referenced stablecoin issuers in Hong Kong.[94] Japan's PSA framework restricts EPI issuance to banks, fund transfer service providers, and trust banks, with the Amendment Act 2025 introducing a lighter-touch intermediary registration for distribution agents.[95]

As far as reserve requirements and risk mitigation are concerned, the international framework converges around the following three core obligations: 100% reserve backing in high-quality liquid assets; mandatory segregation of reserves from the issuer's own funds; and independent periodic audit verification.[96] These reserve, attestation, and supervisory requirements are set out side by side in **Appendix B**. International standard-setters, including the FSB, IOSCO, and BIS CPMI, have emphasized the need for cross-border supervisory coordination to ensure that systemic risks do not build up in large, internationally active issuers.[97]

A defining tension in the international landscape is regulatory arbitrage arising from divergences in regulatory stringency. The contrast between the EU's prescriptive MiCA framework and the more permissive GENIUS Act creates incentives for issuers to structure their operations to minimize compliance burdens, undermining the FSB's "same risk, same regulation" principle.[98] The European Central Bank (ECB) has specifically flagged the risk that US crypto-sector deregulation could cause financial contagion in Europe by enabling US-issued stablecoins to circulate within the European Union outside MiCA's reserve and redemption requirements.[99] The United Kingdom takes a more permissive stance on cross-border use: foreign-issued stablecoins may be used by UK consumers without the issuer requiring UK

published their joint approach to the regulation of systemic stablecoin issuers in 2026, superseding the Bank's November 2025 consultation.

[94]MAS, Payment Services Act 2019 (as amended), MAS Notice PSN08 (n 87): SCS issuers licensed as Major Payment Institutions. HKMA, Stablecoins Ordinance (n 86): sole licensing authority for fiat-referenced stablecoin issuers, including HKD-pegged issuers operating outside Hong Kong.

[95]PSA (Japan) (n 85): only banks, licensed fund transfer service providers, and trust banks may issue EPIs. Amendment Act 2025 (Act No 66, in force by June 2026): 50% reserve relaxation into short-dated JGBs, US Treasuries, and eligible term deposits; new Electronic Payment Instrument and Crypto-Asset Intermediary Service Business (ECISB) lighter-touch registration for agents acting under mandate from licensed issuers. The 2025 amendments (Act No 66 of 2025, promulgated 6 June 2025) came into force on 1 June 2026.

[96]MiCA (n 27) arts 36–38 (ART reserve of assets) and art 54 (investment of funds received for EMTs); Stablecoins Ordinance (n 86) Schedule 2; MAS Notice PSN08 (n 87); PSA (Japan) art 43-3; GENIUS Act (n 27) s 4. Audit requirements: MiCA art 32 (quarterly independent audit for ARTs), art 46 (quarterly reserve report for EMTs); MAS Notice PSN08 (monthly independent reconciliation).

[97]FSB (n 1) 22–27; IOSCO, 'Policy Recommendations for Crypto and Digital Asset Markets' (Final Report, November 2023); BIS CPMI-IOSCO (n 91). On systemic spillover risk from forced reserve liquidation, see FSB (n 1) 14–16.

[98]FSB (n 1) 31–33; EBA, 'Report on Crypto-Assets' (January 2019) 43–45. The FSB's 'same risk, same regulation' principle: FSB (n 1) 5–6.

[99]Gregorio Sorgi and Bjarke Smith-Meyer, 'European Commission Livid as ECB Warns of Crypto Apocalypse', Politico Europe (April 2025) <https://www.politico.eu/article/european-commission-livid-ecb-warn-crypto-apocalypse-donald-trump/>. See also European Central Bank, 'The Crypto-Asset Landscape' (ECB Occasional Paper, 2024).

authorization under the overseas persons exemption, though UK payment facilitators must still assess such instruments against criteria comparable to domestic regulatory requirements.[100]

B. Consumer Protection

All international frameworks mandate that stablecoins issuers provide full disclosure, including a white paper or offering document. MiCA provides for detailed disclosure of governance, management of stabilization and reserve assets, rights of the token owners, including redemption, technical and risk aspects, and environmental impact. Special focus is given to these requirements when the proof-of-work mechanism is used to validate transactions. Where an ART is issued by a credit institution, the white paper should be approved by the NCA.[101]

It remains unclear whether stablecoin transfers constitute "payment transactions" under PSD2. Error resolution in MiCA is only addressed through disclosure obligations, a limitation also seen in the enacted GENIUS Act. As a consequence, users of stablecoins in both the United States and the European Union lack the full range of statutory protections available for error resolution on regular payment instruments.[102]

Japan, Singapore, and Hong Kong provide strong statutory consumer protections in insolvency. As previously mentioned in Section 3.4.1, Japan's trust-type EPIs benefit from the Trust Act's insolvency-remote segregation mechanism without a monetary cap. Singapore's MAS Notice PSN08 requires legally segregated reserve structures. Hong Kong's Stablecoins Ordinance grants a direct insolvency claim over reserve assets and a residual claim for any shortfall.[103] However, no jurisdiction, including the United States under the GENIUS Act, has yet established a statutory dispute resolution mechanism specific to stablecoin balance freezes.

C. Financial Crime

The international anti-money laundering and countering the financing of terrorism (AML/CFT) framework for stablecoins is anchored in FATF's Recommendation 16 Travel Rule, which requires virtual asset service providers (VASPs) to collect and transmit originator and beneficiary information for virtual asset transfers. However, implementation varies. The EU's Transfer of Funds Regulation applies to all crypto-asset transfers with no de minimis threshold, while

[100]Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026, overseas persons exclusion. Payment facilitators using foreign stablecoins remain subject to the Payment Services Regulations 2017 (SI 2017/752): FCA CP25/14 (n 88) paras 7.1–7.12.

[101]MiCA (n 27) art 19 (ART white paper content) and art 47 (EMT white paper content): issuer identity and governance; stabilization mechanism; holders' rights including redemption terms; technology and risk descriptions; environmental impact for proof-of-work issuers. NCA approval required for ARTs issued by credit institutions: MiCA art 17(1).

[102]PSD2 (n 29), arts 73–74 (PSP liability for unauthorized transactions). Whether stablecoin transfers constitute 'payment transactions' under PSD2 has not been authoritatively determined. MiCA addresses error resolution through disclosure only.

[103]PSA (Japan) (n 85): deposit-type EPIs protected under the Deposit Insurance Act up to JPY 10 million; trust-type EPIs: Trust Act arts 23–26 segregation, no monetary cap. MAS Notice PSN08 (n 87): legally segregated reserves. Stablecoins Ordinance (n 86): direct insolvency claim over reserve assets and residual claim for any shortfall.

FinCEN's Travel Rule under the GENIUS Act applies only to transfers exceeding US$ 3,000. FATF's 2023 targeted update clarified the Travel Rule's application to unhosted wallets and DeFi arrangements—areas of particular relevance for on-chain stablecoin transfers.[104]

A key regulatory objective shared across jurisdictions is the consistent application of AML/CFT obligations to both banking institutions and non-bank stablecoin issuers, to prevent regulatory arbitrage in which less-supervised non-bank entities displace banks in payment flows while evading comparable financial crime compliance requirements. The GENIUS Act's preservation of BSA obligations for PPSIs, the CLARITY Act's extension of formal AML supervision to CFTC-registered digital commodity intermediaries, MiCA's AML obligations for CASPs, and Japan's PSA AML requirements for EPI service providers all reflect this objective, though the level of harmonization across jurisdictions, particularly on Travel Rule thresholds and the treatment of unhosted wallet transfers, remains incomplete. The Basel Committee's prudential treatment standard for banks holding stablecoins adds a further dimension, creating an indirect regulatory incentive for issuers to maintain the highest standards of reserve management and legal certainty.

These anti-financial-crime requirements are compared across jurisdictions in **Appendix B**.

3.5 The E-Money/ Stablecoin Interface: Cross-Country Regulatory Ambiguities

Prior to the emergence of dedicated stablecoin regimes, "e-money" served as the principal legal category for digitally stored monetary value. The EU's Electronic Money Directive 2009 (EMD2) defines e-money as electronically stored monetary value represented by a claim on the issuer, issued on receipt of funds for the purpose of making payment transactions, and accepted by a person other than the issuer.[105] The UK Electronic Money Regulations 2011 adopt a materially identical definition.[106] Japan employs functionally comparable concepts under different labels—"Prepaid Payment Instruments" (PPIs) and "Electronically Recorded Monetary Claims" (ERMCs),[107] while Hong Kong and Singapore use "stored value facilities" and "e-money"

[104]FATF, 'Updated Guidance for a Risk-Based Approach to Virtual Assets and VASPs' (October 2021), Recommendation 16 (Travel Rule); FATF 2023 targeted update on unhosted wallets and DeFi. EU Transfer of Funds Regulation (EU) 2023/1113 [2023] OJ L150/1: Travel Rule applies to all crypto-asset transfers, no de minimis threshold (contrast: FinCEN USD 3,000 threshold (n 83)). Basel Committee on Banking Supervision (BCBS), 'Prudential Treatment of Cryptoasset Exposures' (Standard, December 2022): risk-weighting rules for banks holding stablecoins.

[105]Directive 2009/110/EC of the European Parliament and of the Council of 16 September 2009 on the taking up, pursuit and prudential supervision of the business of electronic money institutions (EMD2) [2009] OJ L267/7, art 2(2).

[106]Electronic Money Regulations 2011 (SI 2011/99), reg 2(1).

[107]PSA (Japan) (n 85) art 2(5) (EPIs); Act on Electronically Recorded Monetary Claims 2007 (Act No 102 of 2007) (ERMCs).

respectively.[108] The United States has no specific e-money statute; all electronic fund transfers are regulated by the EFTA, and prepaid stored-value products are not federally insured.[109]

Fiat-backed payment stablecoins share the core characteristics of e-money across all these definitions: they are fiat-denominated, issued on receipt of funds, represent a claim against the issuer, and are designed for use as a payment instrument. The central regulatory question confronting legislators across jurisdictions has, therefore, been whether fiat-backed stablecoins should be treated as a species of existing e-money, or as a distinct instrument warranting a purpose-built regulatory category. The prior report's treatment of stablecoins as money informs this question.

Jurisdictions have answered this question in materially different ways, with direct consequences for the applicable insolvency treatment, consumer protection rights, and regulatory licensing burdens.

The European Union has adopted the most direct approach: under MiCA, an EMT is explicitly deemed to be electronic money within the meaning of the EMD2.[110] MiCA's stablecoin framework is layered onto, rather than replacing, the existing EMD2 licensing infrastructure: EMT issuers must be authorized as credit institutions or e-money institutions, and comply simultaneously with both MiCA's reserve, white paper, and redemption requirements and the underlying EMD2 obligations. This maximizes continuity with existing consumer protections but introduces a regulatory ambiguity: since PSD2's definition of "funds" includes e-money, and MiCA provides that a CASP executing payment transactions with EMTs shall be considered a payment service provider under PSD2, a CASP transacting EMTs may appear to require dual authorization as both a MiCA-licensed CASP and a PSD2-licensed payment institution.[111]

The EBA addressed this ambiguity in its Opinion of June 26, 2025, on the interplay between PSD2 and MiCA:

> MiCA is not explicit about which services that CASPs may offer qualify as payment services, and, as a result, the question arises of whether and in which cases there could be a need for a "dual authorization" for CASPs under MiCA also as payment institutions under PSD2.

[108]Payment Systems and Stored Value Facilities Ordinance (Cap 584) (Hong Kong), s 2; Payment Services Act 2019 (Singapore), s 2.

[109]EFTA (n 28), 15 USC s 1693. There is no federal e-money statute; prepaid stored-value products are subject to state money transmitter licensing and are not FDIC-insured.

[110]MiCA (n 27), art 48(2): 'An e-money token shall be deemed to be electronic money as defined in Article 2, point 2, of [EMD2].' EMT issuers must be authorized as credit institutions (Directive 2013/36/EU) or e-money institutions (EMD2): MiCA art 48(1).

[111]MiCA (n 27) art 70(4); PSD2 (n 29) art 4(25) (definition of 'funds' includes e-money); EMD2 (n 105) art 2(2).

The EBA concluded that CASPs transacting EMTs in the exercise of a MiCA-authorized service do not require an additional PSD2 authorization for that activity.[112] MiCA does not replace the EMD2, but the Opinion removes the principal dual-licensing concern for CASP activities involving EMTs. The relationship between MiCA's EMT framework and the forthcoming PSD3/Payment Services Regulation package, which will eventually replace PSD2, remains to be clarified in future legislation.[113]

The United Kingdom has taken the opposite approach, deliberately classifying qualifying stablecoins as a new category of instrument rather than as e-money. The Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 amend the Electronic Money Regulations 2011 to exclude qualifying stablecoins and their backing assets from the definition of "electronic money."[114] The FCA's Consultation Paper 25/14 confirms this position, noting that qualifying stablecoins are to be treated as "money-like instruments" distinct from e-money, and that a firm issuing both e-money and qualifying stablecoins will require separate permissions for each activity.[115] HM Treasury has also confirmed it does not intend to bring stablecoin payments within the Payment Services Regulations 2017, meaning qualifying stablecoin issuers face no parallel PSD2-equivalent authorization requirement, avoiding the EU's dual-framework complexity, but at the cost of severing stablecoins from the established consumer protection mechanisms applicable to e-money holders.

The United States has taken the most categorical approach, treating payment stablecoins as a *sui generis* instrument that is explicitly neither a deposit, nor a security, nor a commodity, nor e-money. The Act prohibits PPSIs from accepting Federal Deposit Insurance Corporation (FDIC) deposit insurance, prohibits the payment of interest or yield to holders, and overrides SEC Staff Accounting Bulletin No 121 by prohibiting federal agencies from requiring institutions to record custodied stablecoins as balance-sheet liabilities.[116] The result is a new instrument category that shares the economic characteristics of e-money but sits entirely outside the existing consumer protection, deposit insurance, and securities regulatory frameworks.

Japan's PSA framework deploys the most analytically precise taxonomy. It distinguishes three pre-existing instrument categories relevant to the e-money/stablecoin interface: PPIs (pre-paid instruments redeemable only for goods or services, not for money); ERMCs (digital records of commercial monetary claims); and EPIs (fiat-currency-denominated stablecoins redeemable at par in legal tender). The Japan Financial Services Agency (FSA)'s deliberate placement of stablecoins in the EPI category reflects a policy determination that stablecoins are monetary

[112]EBA, Opinion on the interplay between PSD2 and MiCA (EBA/Op/2025/04, 26 June 2025), para 4.13 <https://www.eba.europa.eu/sites/default/files/2025-06/e2958c99-a1b0-4b07-9d31-bcba0a28dbe7/Opinion%20on%20the%20interplay%20between%20PSD2%20and%20MiCA.pdf> accessed 3 August 2026.
[113]European Commission, Proposal for PSD3, COM (2023) 366 final, Recitals 36–38.
[114]Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 (SI 2026/102) (amending the Electronic Money Regulations 2011 to exclude qualifying stablecoins).
[115]FCA CP25/14 (n 88), paras 2.7–2.8 and Annex 2.
[116]GENIUS Act (n 27), s 4(a)(4) (prohibition on FDIC insurance); s 4(a)(5) (prohibition on paying interest or yield to holders).

instruments, functionally analogous to e-money, but subject to the PSA's specific issuer-type licensing requirements and the insolvency-remote trust structure of the trust-type model.[117]

Hong Kong and Singapore have each maintained their pre-existing stored-value and e-money frameworks while creating separate licensing tracks for fiat-referenced stablecoins, without definitively resolving whether stablecoins constitute a species of stored value or a distinct instrument. In Hong Kong, the Stablecoins Ordinance creates a distinct licensing category for fiat-referenced stablecoins separate from the existing stored value facility regime, and the HKMA has confirmed that the issuers of fiat-referenced stablecoins need not hold a stored value facility license. Singapore similarly maintains separate licensing categories for e-money issuers and single-currency stablecoin issuers under MAS Notice PSN08, with SCS issuers not required to hold an e-money license.[118]

The cross-country regulatory assessment reveals functional convergence but legal divergence. All major frameworks agree on the economic characteristics of a qualifying fiat-backed payment stablecoin: fiat-denominated, par-redeemable, backed by segregated high-quality assets, and designed for payment rather than investment. On these criteria, a payment stablecoin is economically indistinguishable from e-money as defined under the EMD2. Yet the legal classification diverges sharply: the European Union treats EMTs as e-money; the United Kingdom treats qualifying stablecoins as distinct from e-money; the United States treats payment stablecoins as a *sui generis* instrument, excluding them from the monetary and payment instruments existing statutory categories; Japan treats EPIs as monetary instruments subject to a more protective insolvency regime; and Hong Kong and Singapore maintain parallel tracks without resolving the underlying question. instrument, excluding them. The statutory basis for each of these classifications is recorded in **Appendix A**.

This divergence has direct practical consequences. The applicable insolvency treatment, consumer error resolution rights, eligibility for settlement finality protections, and the regulatory licensing burdens on issuers and intermediaries all depend on how a stablecoin is characterized in the relevant jurisdiction. As stablecoins cross borders, are issued under one framework, distributed through another, and used for payment under a third, the divergence in legal characterization generates the conflict-of-laws uncertainties discussed in Section 2.2 of this report and the regulatory arbitrage risks identified in Section 3.6.

[117]PSA (Japan) (n 85), art 2(5) (EPIs distinguished from PPIs and ERMCs); PSA art 20 (PPIs may not be redeemed for money). See Chambers & Partners, 'Fintech 2025 — Japan' (2025).

[118]HKMA, 'Draft Guideline on Supervision of Licensed Stablecoin Issuers' (26 May 2025); MAS, 'MAS Finalises Regulatory Measures for Stablecoins' (Press Release, 15 August 2023). Both authorities confirmed that issuers of fiat-referenced stablecoins (FRS) and single-currency stablecoins (SCS) do not simultaneously require a stored value facility (SVF) or e-money licence.

3.6 Regulatory Divergence and the Prospect of Regulatory Arbitrage

Regulatory arbitrage refers to the varying levels of regulatory strictness across jurisdictions that can be exploited. For example, proposed US legislation contains a "foreign issuer loophole".[119] This means that US-issued stablecoins would be subject to stricter prudential and supervisory requirements than many foreign-issued stablecoins that might circulate within the United States.[120] This creates a competitive disadvantage for domestic issuers and presents consumers with "confusing choices" regarding the protections that apply to their stablecoins.

The fragmentation, evident in the differing regulatory clarity and strictness between, for instance, the EU's prescriptive MiCA framework and the US legislative delays, incentivizes stablecoin issuers to incorporate or operate from jurisdictions with less stringent oversight.[121] Such an environment undermines the very principle of "same risk, same regulation", potentially allowing under-regulated entities to gain market share, posing risks to financial stability, and creating an uneven playing field that could stifle innovation in jurisdictions committed to robust consumer protection and prudential standards. It also means that consumer and investor protections are not consistently applied based on the stablecoin's use or impact, but rather on its jurisdictional origin. Such an environment undermines the very principle of "same risk, same regulation", potentially allowing under-regulated entities to gain market share, posing risks to financial stability, and creating an uneven playing field that could stifle innovation in jurisdictions committed to robust consumer protection and prudential standards. It also means that consumer and investor protections are not. The divergences that generate this exposure are mapped in **Appendix A**, and the position of holders of tokens falling outside every regulated perimeter is set out in **Appendix D**.

The deregulation of cryptoassets in the United States may destabilize the EU market. Such concern was highlighted by Politico in a recent report claiming that the ECB is concerned "the U.S. president's lavish support for the American crypto sector risks causing financial 'contagion' that could blow up the European economy."[122] In the United Kingdom, non-UK stablecoin issuers do not automatically require UK authorization simply because their tokens are available in the UK market. However, overseas companies that actively market or engage directly with UK

[119] Timothy Massad, Howell E Jackson and Dan Awrey, 'Stablecoin Regulation Is Pending in Congress. Here Are Six Ways the Proposals Should Be Improved' (Atlantic Council, 18 April 2025) <https://www.atlanticcouncil.org/blogs/new-atlanticist/stablecoin-regulation-is-pending-in-congress-here-are-six-ways-the-proposals-should-be-improved/> accessed 3 August 2026.

[120] ibid.

[121] Carlos Cantú, Jon Frost and Thomas M Noone, 'Some Perspectives on the Regulation of Stablecoins' (2025) 87 Law and Contemporary Problems 129 <https://scholarship.law.duke.edu/cgi/viewcontent.cgi?article=5161&context=lcp#page=19.82> accessed 3 August 2026.

[122] Sorgi and Smith-Meyer (n 99) <https://www.politico.eu/article/european-commission-livid-ecb-warn-crypto-apocalypse-donald-trump/> accessed 3 August 2026.

consumers must adhere to strict financial promotion regulations and territorial authorization requirements.[123]

The UK's stance demonstrates a greater inclination to follow the regulatory practices of the United States, which generally provide more leeway for cross-border digital financial services. Nonetheless, payment facilitators in the United Kingdom that utilize foreign stablecoins are still required to evaluate these coins against criteria comparable to domestic regulatory requirements, thereby maintaining some degree of consistency and risk management in the absence of definitive regulation.

4. Monetary Policy Considerations

4.1 Access to the Central Bank's Reserves

Stablecoins could potentially mimic a safe and narrow bank[124] that backs its deposit base one-for-one with safe reserve assets.[125] In the traditional banking sector, banks can hold reserves with the central bank under ordinary reserve-account arrangements and earn interest, which ultimately determines the bank's deposit interest rate. A financial institution can deposit reserves with the central bank and earn interest only if the Federal Reserve (Fed) grants it a master account.

In February 2024, the Fed denied the master-account application of The Narrow Bank, stating that granting one would "pose undue risk to the stability of the U.S. financial system and would adversely affect [the Fed's] ability to implement monetary policy."[126] Custodia Bank and PayServices Bank, whose own applications had been denied earlier, challenged those decisions unsuccessfully: two federal district courts upheld the denials in 2024, the Tenth Circuit affirmed against Custodia in October 2025 by two to one, holding that Reserve Banks retain discretion to deny master accounts to otherwise eligible institutions, rehearing en banc was refused in March 2026 by seven to three, and Custodia has petitioned the Supreme Court.[127] The Fed's denial might have stemmed from several concerns, including technical details such as proper

[123] Steven Lightstone, 'UK Finalises Cryptoasset Rules: Key Considerations for Non-UK Firms' (Morgan Lewis, 06 July 2026) <https://www.morganlewis.com/pubs/2026/07/uk-finalises-cryptoasset-rules-key-considerations-for-non-uk-firms> accessed 3 August 2026.

[124] A narrow bank is a bank which only holds liquid and safe government liabilities as assets. Properly supervised narrow banks should, in principle, be attractive additions to the financial landscape, as their deposits are safe and as traditional bank runs, where the conversion of deposits into cash is called into question, can no longer happen.

[125] Traditionally, central bank reserve is the safest asset. Bank deposits are redeemable at par.

[126] Gabrielle Saulsbery, 'Fed Denies TNB Master Account after 6 Years' Banking Dive (27 February 2024) <https://www.bankingdive.com/news/fed-denies-tnb-master-account-after-six-years/708648/> accessed 3 August 2026.

[127] Davis Polk, 'District Courts Refuse to Order Federal Reserve to Grant Master Accounts to Custodia and PayServices' (Client Update, 15 April 2024) <https://www.davispolk.com/insights/client-update/district-courts-refuse-order-federal-reserve-grant-master-accounts-custodia> accessed 3 August 2026.

regulation or deposit insurance. The Fed may fear that a stablecoin-based bank erodes and disrupts traditional banking. Moreover, an issuer holding a master account would earn interest on its reserve balances and could pass that return to holders, creating a near-riskless and fully liquid retail claim paying close to the policy rate, with consequences for the transmission of monetary policy. That channel is presently closed in any event: section 4(a)(5) of the GENIUS Act prohibits permitted issuers from paying interest or yield to holders.

This is a conundrum for the development of stablecoins. Custodia was previously chartered as a special purpose depository institution (SPDI) under the charter of the State of Wyoming, allowing it to accept deposits; however, it is not required to comply with FDIC insurance. Therefore, Custodia's effort to be subject to federal prudential regulation would likely make stablecoins and alike safer. It is worth being clear on what the GENIUS Act does and does not do on this point. The Act itself does not confer Fed master-account access on payment stablecoin issuers; it is silent on the question and preserves existing eligibility rules, leaving the decision to the Fed's discretion. Master-account access for stablecoin issuers, therefore, remains unresolved even after the GENIUS Act, continuing to turn on the Fed's case-by-case judgment rather than on any statutory entitlement.

If regulators aspire to have low-risk stablecoins, a construction akin to that of a narrow bank is desirable: they should be fully backed by reserves, granted a Fed master account, and able to pay interest. However, central banks need to carefully consider the implications of stablecoin issuers' access to central bank reserves for monetary policy. There is also a trade-off. Withholding reserve access does not itself make stablecoins risky, but it does forgo the reduction in credit and custody risk that reserve access would deliver, leaving stablecoins exposed to the credit standing of their reserve assets and custodians. If stablecoins are meant to thrive, then the most stable arrangements should be applauded and supported, rather than met with additional regulatory roadblocks.

4.2 Interest in Stablecoins

The advent of interest-bearing stablecoins, with potential access to central bank master accounts, raises fundamental questions about the architecture of the monetary system and the principles of competitive neutrality. These financial products have the theoretical potential to challenge central bank money (i.e., cash, reserves) by providing consumers with direct access to interest-bearing digital balances. However, the regulatory implications related to widespread private issuance of interest-bearing liabilities are complex. Therefore, policymakers might be hesitant toward such innovation, as it poses challenges to the regulation and supervision of private balances akin to central bank money.

Despite this, the prevailing resistance to allowing interest on privately held stablecoin balances warrants further consideration. Proponents of allowing interest advance an equity and efficiency

argument. The Fed pays interest on the reserve balances of commercial banks, which reduces the surplus it remits to the Treasury; on this view the public therefore bears a cost that benefits banks but not holders of the digital balances that households might hold directly in the form of stablecoins. Critics respond that interest on reserve balances is an instrument for steering the policy rate in an ample-reserves regime rather than a transfer, and that remittances to the Treasury are a residual rather than a subsidy foregone. Similarly, there is little rationale for deliberately restricting digital currency to mimic physical cash, rather than leveraging technological innovation to improve the monetary system.

One policy argument against an interest-bearing stablecoin is that it will potentially increase competition for deposits among traditional banks. Merely protecting traditional banks from technological disruption is inconsistent with principles of market innovation and competition. However, the knock-on implications of stablecoins potentially eroding the lending deposit base warrant consideration. These efficiency and competition arguments are not the whole picture, however. There are serious arguments against permitting stablecoins to pay interest that do not reduce to protecting incumbent banks: among them, the risk that interest-bearing, fully liquid stablecoins would accelerate deposit flight and disintermediate bank credit in periods of stress, complicate the transmission of monetary policy, and concentrate demand for safe assets in ways that affect short-term funding markets. Reasonable members of the policy and expert community differ on how to weigh these considerations. This report does not take a position on the question; it identifies it as an unresolved and contested issue for policymakers.

4.3 Currency Competition

An interest-bearing stablecoin may have potential implications beyond the currency area of its denomination. In Benigno-Schilling-Uhlig (2022), the authors argue that the existence of an internationally circulating stablecoin, which is a perfect substitute to local currencies for the purpose of making payments, will lead to “crypto-enforced monetary policy synchronization”, upending the independence of central banks from US monetary policy, lest they risk that their currency will cease to be used as a means of payment.[128] In Uhlig-Xie (2020), the challenges arising from monetary policy are analyzed, when a parallel digital currency becomes a unit of account for pricing a segment of the goods. It is therefore likely that the vigorous development of dollar-based stablecoins in the United States will create strains in international relations that require thoughtful attention.[129]

Stablecoins and fiat currency may bring a novel dimension to the dynamics of currency competition. The premise of this argument is based on Hayek’s concept of competition among

[128] Pierpaolo Benigno, Linda M. Schilling and Harald Uhlig, ‘Cryptocurrencies, Currency Competition, and the Impossible Trinity’ (2022) 136 Journal of International Economics 103601.

[129] Harald Uhlig and Taojun Xie, ‘Parallel Digital Currencies and Sticky Prices’ (NBER Working Paper No 28300, December 2020).

privately issued currencies, which theorizes that when several currencies offer similar transactional convenience, consumers are inclined to opt for the currency with a more stable value while avoiding those that depreciate.[130] This competition can be market-driven, with both stablecoins and fiat currencies competing and likely gaining popularity based on acceptance, trust, and transactional convenience. While such competition between public and private currencies brings benefits, such as increased efficiency, innovation, and consumer choice, it could cause a reserve drain, impacting traditional bank deposit levels.[131] Disintermediation may shrink balance sheets and affect banking system stability. The borrowing could be costly, as banks increasingly rely on funding sources beyond deposits.[132]

International bodies have expressed concern that excessive "cryptoization, or the internationalization of currencies,"[133] could reduce demand for the local currency, weakening central banks' ability to implement effective monetary policy.[134] Stablecoins that operate outside the traditional banking system could limit a central bank's liability to regulate the money supply, interest rates, and liquidity in the economy. For example, central banks may have difficulty transmitting monetary policy signals if a significant portion of the money supply is held in stablecoins. Moreover, globally available stablecoins could amplify cross-border capital flows and volatility, undermining weaker currencies and creating vulnerabilities in countries with limited regulatory capacity.[135]

4.4 Run on Stablecoins and the Central Bank's Trilemma

The potential elimination of traditional bank runs in a financial system dominated by fully reserve-backed stablecoins does not imply the disappearance of systemic risk associated with broader forms of "runs." Traditionally, a bank run involves a flight from a liability that the bank can readily issue—such as deposits—to an asset it cannot easily generate, i.e., physical cash. In economic terms, the primary reason for a bank's vulnerability to a run is the maturity mismatch. This imbalance exposes banks to liquidity risk under fractional reserve arrangements.

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[130] F. A. Hayek, Denationalization of Money (The Institute of Economic Affairs, 1976).

[131] Jamie Morgan, 'Systemic Stablecoin and the Brave New World of Digital Money' (2023) 47(1) Cambridge Journal of Economics 215; also, Yuliya Guseva, Sangita Gazi, and Douglas Eakeley, 'On Innovation and the Coexistence of Stablecoins and Central Bank Digital Currencies' (2025) 87 Law and Contemporary Problems 91.

[132] Bank of England, 'New Forms of Digital Money' (Discussion Paper, June 2021) and 'Proposed Regulatory Regime for Sterling-Denominated Systemic Stablecoins' (Consultation Paper, November 2025), modelling the effect on bank funding and lending rates of a migration of retail deposits into new forms of digital money. The magnitude of any resulting increase in lending costs depends on the modelling assumptions adopted and should not be stated as a single figure.

[133] Where citizens of a country prefer using stablecoins for conducting different transactions and savings over their national currencies.

[134] IMF, 'The Crypto Ecosystem and Financial Stability Challenges', ch 2 in Global Financial Stability Report: COVID-19, Crypto, and Climate - Navigating Challenging Transitions (October 2021), discussing 'cryptoization' and currency substitution. See also IMF, Understanding Stablecoins (Departmental Paper, December 2025).

[135] FSB (n 1)

Within a monetary system composed solely of reserve-backed stablecoins, the nature of the run changes. Here, the public would no longer flee deposit liabilities into central bank cash, since their holdings are already liquid and fully backed. Instead, the concern shifts toward a run from digital money itself into real goods and services—resources the central bank cannot produce. Such runs are familiar from hyperinflations, where trust in the means of payment erodes, or from stockouts during the 2020 pandemic.

Schilling et al. (2024) study such runs and argue that they put a central bank in a trilemma. They argue: "[central banks] can only achieve two of three objectives: a socially efficient allocation, financial stability (i.e., absence of runs), and price stability."[136] Their scenario might envision a world far in the future, where stablecoins, along with CBDCs, have become remarkably successful. Even if that point is never reached, the analysis is a useful reminder that stablecoins could represent technological progress, but not a solution to the fundamental tension between maturity transformation and liquidity needs.

5. Policy Recommendations

The analysis in this report supports a single organizing principle for stablecoin policy: legal classification, regulatory architecture, and monetary-policy design should track the structural features of each stablecoin—its reserve composition, redemption design, and custody architecture—rather than treating stablecoins as a single asset class. The recommendations below follow the report's three domains and are addressed, in turn, to legislators, financial regulators, central banks, and the international standard-setters.

5.1 Private and Commercial Law

The future of stablecoins will be driven by four primary factors: evolution of stablecoins themselves; connections with traditional finance; the larger economic environment; and legal/regulatory developments.

In some ways, the stablecoin market has been, for lack of a better term, stable. Just as Bitcoin and Ether have been the first and second most valuable digital assets overall since they launched, USDT and USDC have occupied that position in stablecoins for many years. After

[136] Linda Schilling, Jesús Fernández-Villaverde, and Harald Uhlig, 'Central Bank Digital Currency: When Price and Bank Stability Collide' (2024) 145 Journal of Monetary Economics 103554 <https://doi.org/10.1016/j.jmoneco.2024.01.007> accessed 3 August 2026.

skyrocketing from 2020-2022, the value of stablecoin assets was flat through early 2025 and has grown only about 25% since then. And the custodial model of USDT and USDC has long dominated the market.

However, as we discuss in Section 3, there are a variety of different stablecoin models, with new issuers frequently offering distinctive approaches. The market has learned that there is room for other models from the brief popularity and catastrophic fall of UST, the ongoing operation of DAI (including the introduction of USDS), and the recent growth of USDe. More competition will come with regulatory legitimacy. This will create market pressure for issuers to make stablecoins more appealing, such as by offering higher yields or better integration with other financial services. While major regulatory regimes currently prohibit issuers from paying interest directly (though indirect yields through distributors remain available), the status of stablecoins such as USDe that incorporate yield directly will be important to watch.

Moves to bring the stablecoin world into closer alignment with traditional finance will also have a significant impact. Stripe's US$1.1 billion acquisition of Bridge and its plans to launch the layer-1 blockchain Tempo are a watershed moment. A leading provider of plumbing for financial services seeks to connect to the stablecoin environment. Other major fintech and payments firms are moving in the same direction. These integrations hide underlying complexity from users, making stablecoin rails seem no different from other, more familiar ones. As with stablecoin designs, however, there are a range of ways to connect the blockchain and traditional financial worlds, privileging one or the other.

Macroeconomic and geopolitical factors will also matter. The business of stablecoins changed dramatically for centralized operators when interest rates finally moved up. Future changes in interest rates, inflation, economic growth, and financial crises will significantly impact stablecoin markets. The borderless nature of stablecoins is an advantage for those who favor the free flow of capital and a danger for nations enforcing currency controls. Similarly, the fact that the stablecoin market is today almost entirely denominated in USD is a benefit for the United States and a concern elsewhere, which is leading the European Union to push for a digital euro and major firms in China to urge approval of a yuan-denominated Hong Kong stablecoin.[137] Or perhaps the advantages of a truly global form of money will be so significant that a stablecoin-based virtual-dollar ecosystem becomes a practical reality for cross-border firms.

Finally, the shift from an environment in which stablecoins are used in the world's largest economies without clear regulation there, to one in which stablecoin-focused regulatory regimes seem inevitable worldwide, is bound to impact the industry in significant ways. Differences in regulatory approaches will create arbitrage opportunities, but efforts toward harmonization will run into differences in viewpoints and concerns about the benefits of a diversity of approaches.

[137] 'China's Tech Giants Lobby for Offshore Yuan Stablecoin, Sources Say' Reuters (3 July 2025) <https://www.reuters.com/world/china/chinas-tech-giants-lobby-offshore-yuan-stablecoin-sources-say-2025-07-03/> accessed 3 August 2026.

If there is another major stablecoin failure along the lines of UST, or worse, significant ripple effects in traditional financial markets will lead to further stringent regulations.

It is also important to keep the size of the industry in perspective. The most recent survey data available, analysed by researchers at the Federal Reserve Bank of St. Louis and drawn from the 2022 Survey of Consumer Finances, found that only 4.3% of US households held any digital assets, let alone stablecoins.[138] As large as the stablecoin market is, the equivalent markets around fiat currencies dwarf it. The proper comparison for nearly US$35 trillion in stablecoin volume over the past year is not the payment volumes of networks such as Visa and Mastercard, but the settlement volume of exchange clearinghouses such as the Depository Trust and Clearing Corporation, which measures its annual volume in quadrillions of dollars. Neither comparison is exact, since card networks measure payment flow while clearinghouses measure securities settlement, in which the same position is counted repeatedly; on any measure, however, stablecoins remain small by comparison.

Until recently, few of the largest global financial jurisdictions had a legal regime that recognized stablecoins. The EU's MiCA regulations for stablecoins became effective in mid-2024, and US legislation was passed in July 2025, alongside activity in Hong Kong, Singapore, Japan, and the United Kingdom, among others. The opportunity to offer stablecoins in compliance with regulation is likely to draw significant engagement from banks and other large traditional financial services providers, who are also aware of the competitive challenge that stablecoins pose.

One scenario is that traditional financial institutions will quickly come to dominate the market, given their size, relationships, and established customer trust. Another is that legacy firms will lose out to competitors who are nimbler and better aligned with new technology platforms. There is a range of views among our expert working group on this and other topics. Our purpose in this report is not to speculate on broad market developments. However, this is clearly a time to watch closely for indications of how activity will shift.

A related question is what will happen to those stablecoin issuers that do not meet the requirements of new regulatory regimes. All the major laws and rules being adopted focus on centralized models, and in some cases expressly prohibit more decentralized models.

One possibility is that non-compliant stablecoins will go on as they have up to now. Though largely outside banking and payment regulation, issuers would still be subject to the significantly broader requirements of financial crime prevention obligations. In the United States, any entity in the business of accepting and transmitting money (or anything that can serve as money) is required to obtain state money transmission licenses and register at the

[138] Juan M Sánchez and Masataka Mori, 'Cryptocurrency Ownership among U.S. Households' (Federal Reserve Bank of St Louis, On the Economy Blog, 11 March 2025) <https://www.stlouisfed.org/on-the-economy/2025/mar/cryptocurrency-ownership-us-households> accessed 3 August 2026.

federal level. Globally, the FATF's standards impose obligations on crypto-asset service providers to protect against money laundering and other financial crimes. In contrast, growing regulatory acceptance of stablecoins may lead to stricter enforcement against those that do not meet the new requirements. Governments could forbid regulated entities from transacting with non-compliant issuers. Already, major European-licensed digital asset exchanges have delisted USDT because it is not licensed under MiCA.[139]

On the issue of stablecoin's "control" and "property", in the United States, the remaining states should enact UCC Article 12, which, as of early 2026, had been adopted in thirty-three jurisdictions, including the District of Columbia; jurisdictions outside the United States should implement the UNIDROIT Principles on Digital Assets and Private Law or an equivalent statutory "third category," as the United Kingdom has now done through the Property (Digital Assets etc.) Act 2025. A uniform recognition of "control" as the functional analog of possession would resolve much of the present uncertainty over whether stablecoins can serve as property, as collateral, and as objects of security interests.[140] Legislators should extend settlement-finality protection and clarify close-out netting for stablecoin positions. Designated stablecoin payment systems should benefit from statutory finality comparable to that afforded to traditional payment and securities settlement systems, and qualifying reserve-backed payment stablecoins should be treated as cash or a cash-equivalent for the purpose of close-out netting, so that their use as variation margin does not create hidden insolvency risk.

Every regime should guarantee holders a direct, insolvency-remote claim over reserve assets. The report's comparison of the GENIUS Act's statutory-priority model with the trust-based, bankruptcy-remote structures of Japan and Hong Kong shows that asset segregation alone is insufficient; holders need an enforceable priority or beneficial interest that survives the issuer's insolvency, together with a defined mechanism for par-value redemption or pro-rata distribution of reserves. The comparative position under each regulated model is set out in **Appendix C**. The GENIUS Act prohibits digital asset service providers from selling unlicensed stablecoins or stablecoins from foreign issuers starting in mid-2028.[141]

5.2 Regulation

The regulatory perimeter should be anchored to economic function and risk rather than to legal form. The current convergence around fiat-backed, reserve-based payment stablecoins leaves crypto-collateralized, algorithmic, and synthetic models largely outside supervision. Rather than

[139] Ryan S Gladwin, 'Binance to Delist Tether and Other Stablecoins for EEA Users, Due to MiCA Regulations' Decrypt (3 March 2025) <https://decrypt.co/308449/binance-to-delist-tether-and-other-stablecoins-for-eea-users-due-to-mica-regulations> accessed 3 August 2026.

[140] On the control-based proprietary frameworks recommended here, see UCC Article 12 (n 10); the UNIDROIT Principles on Digital Assets and Private Law (n 4); and the Property (Digital Assets etc.) Act 2025 (n 19).

[141] GENIUS Act (n 27) s 3(b) (prohibition on digital asset service providers offering or selling payment stablecoins that are not issued by a permitted payment stablecoin issuer or a qualifying foreign issuer, effective three years after enactment).

ignoring or flatly prohibiting these designs, regulators should bring economically-equivalent activity within a proportionate, activity-based perimeter, calibrating disclosure, reserve, and risk-warning obligations to the stabilization mechanism actually used, consistent with the "same risk, same regulation" principle endorsed by the international standard-setters.[142]

Regulators should close the consumer-protection gap. Across the GENIUS Act, MiCA, and the UK's incoming regime, the error-resolution and unauthorized-transaction protections that apply to conventional electronic payments have not been extended to stablecoins, which are addressed, if at all, through disclosure alone. A baseline of liability allocation, error resolution, and redress comparable to the EFTA (US) and the PSD2 (EU) should apply to payment stablecoins held by retail users.[143]

Regimes should also define who counts as a holder. Every framework surveyed in this report confers redemption rights on the "holder" of a stablecoin, and none says who that term reaches. The point is not academic: as noted in Section 3.3.1, roughly ninety per cent of dollar stablecoins reach users through exchanges, wallet providers and other intermediaries rather than by direct issuer-to-retail distribution. Where coins are recorded in an omnibus account in an intermediary's name, it is the intermediary that holds the claim against the issuer and its reserves, while the user holds only a contractual claim against the intermediary, whose failure is governed by an entirely different body of law. Par redemption is, in that case, a wholesale guarantee described as a retail one, and the crypto-platform insolvencies of 2022 and 2023 demonstrated what the distinction is worth when it is tested. Legislators and supervisors should state expressly whether the statutory redemption right runs to the beneficial owner or only to the person recorded on the issuer's register. Where it runs only to the register, the corollary obligations should follow: intermediaries holding stablecoins for retail users should be required to segregate those holdings, to disclose at onboarding that the user has no direct claim against the issuer, and to be subject to a custody and insolvency regime commensurate with the protection the stablecoin regime itself advertises.

Reserve, redemption, and audit standards should be harmonized at a high floor. One-for-one backing in high-quality liquid assets, legal segregation, par redemption within a short and defined window, and frequent independent attestation should be common minimum requirements; systemically important issuers should additionally face enhanced prudential buffers, stress-testing, and interoperability obligations of the kind now emerging in the European Union and the United Kingdom.

Another question is whether stablecoin regulation will produce greater consistency for licensed stablecoin issuers. At first, this might seem to be the case: Stablecoin issuers will need to comply

[142] On the 'same risk, same regulation' principle, see FSB (n 1); on the persistence of implementation gaps, see the FSB's October 2025 Thematic Review, noted at (n 1).

[143] On the absence of comparable consumer error-resolution protections for stablecoins, cf. the Electronic Fund Transfer Act (n 28) and PSD2 (n 29).

with consistent legal requirements to earn licenses. However, inconsistencies among stablecoin legal regimes worldwide make the story a bit more complicated. Not all stablecoins will be licensed everywhere, and so issuers may navigate variability in their practices. The GENIUS Act includes provisions for state licensure of stablecoin issuers, subject to federal approval. Wyoming has already created a stablecoin-friendly regime of Special Purpose Depository Institutions, and other states are likely to compete if not preempted by federal legislation.

Cross-border arbitrage should be managed through coordinated recognition and comparability. The foreign-issuer comparability mechanism in the GENIUS Act, the divergent Travel Rule thresholds identified in this report, and the delisting of non-compliant tokens under MiCA all illustrate how uneven perimeters invite regulatory arbitrage. The FSB's October 2025 finding of significant gaps and inconsistencies in implementation underscores the need for genuinely equivalent comparability determinations, aligned anti-financial-crime thresholds, and coordinated treatment of foreign and non-reserve models

5.3 Monetary Policy

Central banks should place reserve access on transparent, principled terms. Whether systemic stablecoin issuers may hold central-bank reserves, directly or through a narrow-bank structure, should be governed by published criteria rather than the case-by-case discretion seen in the master-account litigation discussed in this report, balancing the financial-stability benefits of fully-backed settlement money against the risks of narrow-bank concentration and bank disintermediation.[144]

The interest question should be resolved deliberately and, so far as possible, in a coordinated way. The GENIUS Act and several other regimes prohibit issuers from paying yield to holders. Whether that prohibition should be maintained, relaxed, or applied only to certain models is genuinely contested—competitive neutrality on one side; deposit flight, credit disintermediation, and impaired monetary transmission on the other—and this report takes no single position. It recommends only that the choice be made explicitly, on the evidence, and with attention to cross-border spillovers, so that differences in treatment do not simply relocate activity to the most permissive regime.

Smaller and emerging economies should be equipped to protect monetary sovereignty. The prospect of a widely used, dollar-denominated stablecoin raises real risks of currency substitution; authorities should monitor stablecoin adoption, consider holding or transaction limits of the kind proposed in the UK's systemic regime, and retain the foreign-exchange and anti-money-laundering tools needed to respond, supported by multilateral coordination.

[144] On the master-account litigation, see the TNB and Custodia decisions (nn 126–127).

5.4 International Coordination

International standard-setters should promote a shared classification vocabulary. Many of the frictions documented in this report—divergent legal characterization, uneven consumer protection, and arbitrage across perimeters—stem from the absence of a common taxonomy linking a stablecoin's legal treatment to its design. The FSB, the Basel Committee, and CPMI-IOSCO are well placed to advance a taxonomy-sensitive framework of the kind advocated here, so that the convergence now visible around the regulated core is matched by coherence in how the remainder of the market is classified and supervised.

Conclusion

Across the United States, the European Union, the United Kingdom, Japan, Singapore, Hong Kong, and the United Arab Emirates, regulated stablecoins share similar characteristics: a fiat-denominated token, redeemable at par, backed one-for-one by high-quality liquid reserve assets segregated from the issuer's own funds, issued by a licensed and supervised entity, and accompanied by enforceable redemption rights and disclosure obligations.

Nonetheless, regulatory treatment of stablecoins vis-à-vis private and commercial law remains unresolved. Jurisdictions still diverge on the threshold question of whether a stablecoin is property at all and, if so, of what kind. The treatment of holders in an issuer's insolvency varies widely—from the secured-creditor priority of the GENIUS Act to the trust-based, insolvency-remote beneficial interests recognized in Japan and Hong Kong—with direct consequences for whether stablecoins can function reliably as collateral. Even where regulators agree on the economic substance of a payment stablecoin, they disagree on its legal characterization, and those disagreements have practical bite. The clearest example is the e-money interface. Additionally, a large group of stablecoins with substantial market value, as shown in Report 1, falls outside the regulated perimeter. How the jurisdictions that have adopted stablecoin regimes will ultimately treat the large unregulated tail- tolerating it, prohibiting it, or cutting it off from regulated banks and financial institutions—remains unclear.

The monetary-policy questions are the least settled of all, in part because they are the newest. Whether stablecoins should be permitted to pay interest at all is genuinely contested: the case for competitive neutrality runs up against concerns about deposit flight, credit disintermediation, and the transmission of monetary policy, and reasonable observers—including members of the working group—differ on how to weigh them. At the international level, the prospect of a widely used, dollar-denominated stablecoin raises the specter of currency substitution and of monetary-policy synchronization enforced through private money, with implications for the monetary sovereignty of smaller economies, while the run dynamics of a fully reserve-backed system point toward a version of the central bank's trilemma rather than its disappearance.

Finally, the central task for practitioners and policymakers is to align legal classification, regulatory architecture, and monetary-policy design with the structural realities of stablecoins rather than against them. The convergence around a regulated core is now real and substantial, and in the major jurisdictions largely codified, while several other frameworks remain in draft. But the unresolved private-law questions, the divergent regulatory characterizations, the persistent gaps in consumer protection, and the open monetary-policy choices all remain to be worked out. The largest question going forward is whether the coming years will deepen the convergence or harden the fragmentation that persists at the margins—across legal regimes, regulatory perimeters, and monetary systems.

Appendix A: Regulatory Mapping

This appendix maps the principal stablecoin regimes onto the functional taxonomy developed in Report 1, rather than simply cataloging their provisions. Two patterns stand out. First, the regimes converge on the reserve-backed, fiat-referenced payment stablecoin: MiCA captures it as an "e-money token" (EMT) while folding multi-currency and commodity- or asset-referenced designs into the separate "asset-referenced token" (ART) category, and the GENIUS Act, the UK regime, Japan's PSA, and the Singapore, Hong Kong, and UAE frameworks each define a functionally equivalent instrument under their own labels. Second, and almost without exception, the regimes reach only off-chain, collateral-backed models; the algorithmic, crypto-collateralized, and synthetic designs identified in Report 1 taxonomy fall outside the regulated perimeter, are admitted only conditionally, or are prohibited outright. The table below records, for each jurisdiction, the legal basis, the taxonomy categories captured, and the key definitional thresholds, so that the regulated perimeter can be read directly against the market structure described in Report 1.

Jurisdiction	**Legal Basis / Date**	**Scope of Regulation (Taxonomy Mapping)**	**Key Definitions (Relation to Taxonomy)**	**Issuer Rqmts.**	**Reserve Rqmts.**	**Redemption timeframe**	**Algorithmic stablecoins**	**Foreign Stablecoins**	**Other notable Provisions**
United States	GENIUS Act (2025)	Covers payment stablecoins backed by off-chain reserve assets (fiat or cash-equivalent collateral). Synthetic, crypto-collateralized, and algorithmic models are not covered.	"Payment stablecoin" = digital asset used for payments that is redeemable for a fixed monetary value and backed by reserve assets. In the taxonomy this corresponds to single-currency fiat-collateralized stablecoins.	Issuers must be permitted payment stablecoin issuers (subsidiaries of insured banks, federally licensed nonbanks, or certified state issuers).	1:1 backing with permitted reserve assets; segregation of reserves; monthly public reserve disclosure and accounting-firm examinatio n.	Must disclose a clear and timely redemption policy; no fixed statutory timeframe.	Excluded from the definition of payment stablecoins.	Permitted in the United States only where the issuer is subject to a foreign regime that Treasury determines comparable, registers with the OCC, and holds reserves in US financial institutions sufficient to meet US customer	Reserve assets treated as bankruptcy-remote with priority claims for stablecoin holders; BSA treatment as financial institutions.

Jurisdiction	Legal Basis / Date	Scope of Regulation (Taxonomy Mapping)	Key Definitions (Relation to Taxonomy)	Issuer Rqmts.	Reserve Rqmts.	Redemption timeframe	Algorithmic stablecoins	Foreign Stablecoins	Other notable Provisions
								demand (Sec. 18).	
United Kingdom	Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 (made 4 February 2026; full commencement 25 October 2027)	Regulates fiat-referenced stablecoins used for payments (off-chain collateralized). Synthetic and algorithmic models are not explicitly addressed.	"Qualifying stablecoin" = cryptoasset referencing fiat or other assets. In taxonomy terms this includes fiat-collateralized stablecoins and potentially multi-asset collateralized tokens.	Issuers must be authorized by the FCA; systemic stablecoin payment systems may additionally be overseen by the Bank of England.	Backing required, but not treated as a collective investment scheme.	Not specified.	Not explicitly addressed.	Use allowed; facilitators must assess risks of foreign stablecoins.	Excludes e-money, CBDCs, and tokenized deposits; FCA maintains registry of approved tokens.
European Union (MiCA)	Markets in Crypto-Assets Regulation (2023)	Covers off-chain collateralized stablecoins. Crypto-collateralized and algorithmic models are effectively excluded.	ART (Asset-Referenced Token) groups together several models in the taxonomy including multi-currency fiat-collateralized and commodity-collateralized tokens; EMT (E-Money Token) corresponds to	Issuers must be authorized under MiCA (ART issuers or EMT issuers).	1:1 reserve backing; liquidity and capital rqmts.	EMTs are redeemable at any time and at par value (Art. 49 MiCA); MiCA does not impose a 5-business-day timeframe.	Restricted in practice.	Foreign issuers must obtain authorization to access EU market.	EMT issuers treated similarly to e-money institutions; strong governance and prudential rules.

Jurisdiction	Legal Basis / Date	Scope of Regulation (Taxonomy Mapping)	Key Definitions (Relation to Taxonomy)	Issuer Rqmts.	Reserve Rqmts.	Redemption timeframe	Algorithmic stablecoins	Foreign Stablecoins	Other notable Provisions
			single-currency fiat-collateralized stablecoins.						
Singapore	MAS Stablecoin Framework (2023)	Covers single-currency fiat-collateralized stablecoins pegged to SGD or G10 currencies (off-chain collateralized models).	"Single-currency stablecoins (SCS)" correspond to fiat-collateralized stablecoins in the taxonomy.	Issuers must be Singapore-based and licensed under the PSA.	Full reserve backing with high-quality liquid assets.	5 business days.	Not addressed explicitly.	Not directly addressed.	Strong disclosure and reserve-risk management requirements.
Hong Kong	Stablecoins Ordinance (2025), passed 21 May 2025 and in force 1 August 2025	Covers fiat-referenced stablecoins with off-chain collateral backing.	Stablecoins must be fully backed fiat-referenced tokens, corresponding to fiat-collateralized models in the taxonomy.	Issuers must obtain a HKMA license.	100% reserve backing with audit and governance rqmts.	Redemption at par value, generally within one business day under HKMA guidelines.	Explicitly restricted unless fully collateralized.	Not specified.	Strong enforcement powers and prudential supervision.
Australia	Token Mapping Consultation (2023) + Payment Systems Reform; Corporations Amendment (Digital	Covers intermediated token systems, including stablecoins used in payments.	Stablecoins defined functionally based on intermediated payment arrangements rather than collateral type.	Joint oversight by the Australian Prudential Regulation Authority (APRA) and the Australian Securities and Investments	Prudential standards for custody, solvency, and reserves.	Not specified.	Not explicitly permitted or banned.	Not specified.	Emphasis on operational resilience and consumer disclosure.

Jurisdiction	Legal Basis / Date	Scope of Regulation (Taxonomy Mapping)	Key Definitions (Relation to Taxonomy)	Issuer Rqmts.	Reserve Rqmts.	Redemption timeframe	Algorithmic stablecoins	Foreign Stablecoins	Other notable Provisions
	Assets Framework) Bill passed 1 April 2026			Commission (ASIC).					
Japan	Amended PSA (2023)	Covers fiat-backed stablecoins redeemable at par (off-chain collateralized).	EPIs correspond to fiat-collateralized stablecoins in the taxonomy.	Only banks, trust companies, or licensed fund transfer providers may issue.	1:1 reserve backing; the 2025 PSA amendment permits up to 50% of reserves to be held in short-term government bonds and redeemable term deposits (previously demand deposits only).	Immediate redemption required.	Excluded from the framework.	Permitted through licensed intermediaries with local reserve arrangements.	Prohibits lending of reserve assets; strict supervision of intermediaries.
South Korea	Digital Asset Basic Act (proposed)	Covers low-volatility digital assets, including stablecoins.	Stablecoins defined broadly but not categorized by collateral type.	Segregated reserves required.	100% reserve backing proposed.	Not specified.	Not addressed.	Not specified.	Heavy disclosure requirements and supervision by the Financial Services Commission (FSC).

Jurisdiction	Legal Basis / Date	Scope of Regulation (Taxonomy Mapping)	Key Definitions (Relation to Taxonomy)	Issuer Rqmts.	Reserve Rqmts.	Redemption timeframe	Algorithmic stablecoins	Foreign Stablecoins	Other notable Provisions
UAE (VARA / ADGM)	CBUAE Payment Token Services Regulation (2024); VARA rules (2023); ADGM FSRA FRT framework (2024)	Covers fiat-referenced payment tokens used domestically or internationally.	The CBUAE Payment Token Services Regulation distinguishes Dirham Payment Tokens and Foreign Payment Tokens, corresponding to fiat-collateralized stablecoins in the taxonomy.	Issuers must obtain licenses or registrations from the CBUAE (for payment tokens), VARA, or the ADGM FSRA.	1:1 reserve backing; income allowed if reserves exceed liabilities.	Not specified.	Algorithmic models prohibited.	Foreign tokens permitted with registration and compliance.	First AED-backed stablecoin (AE Coin) approved by the CBUAE in December 2024; strong supervisory powers.

Appendix B: Micro-Prudential Oversight

Objective	Regulatory considerations	US (GENIUS Act)	EU (MiCA)	UK	Japan	Singapore	Hong Kong
1) Entry requirements	Licensing / who may issue	PPSIs may be: (i) subsidiaries of insured depository institutions, (ii) federally licensed nonbank issuers, and (iii) state-qualified issuers operating under a state regime certified as "substantially similar." State issuers with ⩽ $10bn outstanding issuance may remain state-supervised; above that threshold they generally transition to federal oversight unless a waiver is granted.	MiCA requires authorization for ART and EMT issuers, with supervision by national competent authorities and an enhanced role for the EBA for significant tokens.	The United Kingdom has now made the Cryptoassets Regulations 2026, creating regulated activities including issuing qualifying stablecoins, but the full commencement day is October 25, 2027; the FCA is consulting on detailed issuer/custody rules.	Only banks, fund transfer service providers, and trust companies may issue digital-money-type stablecoins; intermediaries are separately registered.	MAS's framework applies to single-currency stablecoins issued in Singapore; issuers are regulated under the PSA / MAS framework rather than left entirely to general crypto rules.	Since August 1, 2025, issuance of fiat-referenced stablecoins is a regulated activity and a license from HKMA is required.
2) Risk mitigation	Reserve requirements	Issuers must maintain identifiable reserves on at least a 1:1 basis. The Act permits only specified reserve assets and requires reserves to fully back	MiCA requires backing, reserve management, liquidity and own-funds requirements for ARTs/EMTs, with technical standards developed by the EBA. EMTs are	FCA proposals contemplate full backing with appropriate liquid assets and prudential safeguards; detailed calibration remains consultative.	Stablecoin structures differ by issuer type: banks issue as deposits; fund transfer service providers must secure obligations through deposits, guarantees, or segregated safe	MAS requires reserve assets to meet requirements for composition, valuation, custody, and audit to support value stability.	HKMA requires reserve asset management, a robust stabilization mechanism and redemption at par, with related guidance now in force.

Objective	Regulatory considerations	US (GENIUS Act)	EU (MiCA)	UK	Japan	Singapore	Hong Kong
		outstanding stablecoins.	essentially e-money style instruments.		assets; and trust companies hold trusted assets as bank deposits.		
	Attestation / audit / disclosure	Monthly reserve composition must be published; the month-end report must be examined by a registered public accounting firm; and the CEO/CFO must certify its accuracy monthly.	MiCA requires white papers, disclosure, governance and supervisory reporting; reserve, liquidity and redemption planning obligations are supplemented by EBA standards.	FCA proposals include disclosure, safeguarding and prudential controls; detailed audit expectations remain part of the consultation package.	Financial reporting and supervisory oversight are applied through the PSA/sectoral regime.	MAS requires public disclosure and independent review; its framework specifically refers to custody and audit of reserves.	HKMA's regime includes disclosure, auditing and prudential expectations for licensed issuers.
	Supervision	The framework is no longer purely fragmented: oversight is allocated among the OCC, the FDIC, the Federal Reserve, the National Credit Union Administration (NCUA), and relevant state regulators depending on issuer type.	NCAs supervise issuers, with the EBA and ESMA involved in the broader MiCA framework and significant-token oversight.	FCA will supervise conduct / authorization; broader systemic payment issues may involve the Bank of England. The regime is still being operationalized.	FSA supervises issuers and intermediaries under the amended framework.	MAS directly supervises regulated issuers.	HKMA supervises licensed fiat-referenced stablecoin issuers.
	Systemic risk management	The GENIUS Act uses a charter-and-threshold model rather than leaving systemic issues to ad hoc designation alone: larger state issuers	Significant ARTs/EMTs face tougher requirements and closer EBA involvement.	The Bank of England's involvement is expected in systemic stablecoin payment systems, but the full	Focus remains primarily on issuer structure and user protection rather than a separate G-SIB-style stablecoin layer.	MAS can escalate prudential expectations depending on scale and risk.	HKMA's licensing model is explicitly framed around financial stability and prudent supervision.

Objective	Regulatory considerations	US (GENIUS Act)	EU (MiCA)	UK	Japan	Singapore	Hong Kong
		generally move into federal oversight, and regulators are directed to impose capital, liquidity and risk-management requirements.		architecture is still being built.			
3) Consumer protection	Redemption standards	Issuers must publicly disclose a redemption policy with clear and conspicuous procedures for timely redemption. The Act does not use Singapore's fixed "5 business day" formulation.	MiCA gives token holders redemption rights and imposes structured redemption planning for ARTs/EMTs.	FCA's long-running stablecoin work has proposed par redemption and prompt top-up of reserve shortfalls; final operational rules are still pending.	Japanese rules are built around redemption at par for digital-money-type stablecoins.	MAS requires a direct legal claim for redemption at par and redemption within no later than 5 business days.	HKMA requires redemption at par value subject to reasonable conditions.
	Disclosure requirements	Monthly reserve disclosures and public redemption-policy disclosure are mandatory.	White paper, reserve and risk disclosures are core MiCA obligations.	FCA proposals require disclosure on backing, redemption and custody.	Disclosure and reporting flow through the PSA / registration architecture.	MAS requires disclosure of reserve arrangements, redemption rights and related safeguards.	HKMA requires disclosure and auditing as part of licensing expectations.
	Insurance / official backstop	Payment stablecoins are not FDIC- or NCUA-insured, and may not be represented as backed by the US government.	No deposit-insurance style protection; protection comes from reserve, governance and supervision rules.	No deposit-insurance treatment has been proposed for private stablecoins.	Bank-issued forms may benefit from ordinary deposit-law treatment; nonbank structures rely on statutory safeguards instead.	No insurance model; protection is reserve-based and supervisory.	No formal insurance backstop; the model relies on licensing, reserve rules and supervision.
	Bankruptcy remoteness / segregation	This is a major GENIUS Act innovation: reserve assets are segregated,	MiCA relies on segregation / reserve protection and prudential	Still being developed through the UK prudential/custody framework; no	Protection is structural and entity-based rather than a dedicated bankruptcy-	Reserves are ring-fenced through the MAS framework, but not through a US-	HKMA requires segregation of client assets and reserve discipline; the framework is

Objective	Regulatory considerations	US (GENIUS Act)	EU (MiCA)	UK	Japan	Singapore	Hong Kong
		commingling is prohibited, reserves are treated as bankruptcy-remote, and stablecoin holders have priority rights in insolvency.	structure, but it does not replicate the GENIUS Act's bespoke US bankruptcy-code treatment.	GENIUS-style insolvency carve-out yet.	remoteness regime in the US sense.	style bankruptcy-code amendment.	prudential/licensing-based rather than US-bankruptcy-code-based.
4) Preventing financial crime	AML / KYC	A permitted issuer is treated as a financial institution under the Bank Secrecy Act and must comply with AML, customer identification, due diligence and sanctions requirements.	MiCA firms remain subject to EU AML/ travel rule requirements.	FCA/UK AML regime applies to regulated cryptoasset firms.	Japan applies AML/CFT rules and travel-rule requirements to EPIs/stablecoins.	MAS-regulated stablecoin firms must comply with AML/CFT rules.	HKMA's regime includes AML/CFT obligations, with a dedicated AML/CFT guideline for licensed issuers.
	Sanctions compliance	Built directly into the Act through treatment as a financial institution and related sanctions compliance obligations.	EU sanctions screening applies through the ordinary sanctions / AML architecture.	UK sanctions regime applies.	Japan applies related transfer / compliance controls to stablecoin intermediaries.	MAS licensees must comply with sanctions controls.	HKMA requires AML/CFT and related compliance controls.
	Ability to freeze / block	The Act preserves Treasury's authority to block, restrict, or limit transactions involving USD-referenced payment stablecoins; in practice, freeze	Not a universal token-law mandate, but compliance and control powers may exist depending on design and provider obligations.	Likely yes for compliance/sanctions reasons, though operational detail depends on final FCA rules and issuer design.	Available through regulated intermediaries / issuer structure rather than as a uniform public-law feature.	MAS expects compliance functionality where necessary.	HKMA's model contemplates compliance-oriented issuer controls under licensing conditions.

Objective	Regulatory considerations	US (GENIUS Act)	EU (MiCA)	UK	Japan	Singapore	Hong Kong
		capacity also depends on token design and issuer control.					
	Banks and non-banks held to comparable standards?	Yes, broadly. The GENIUS Act allows both bank-affiliated and nonbank issuers, but subjects them to a common federal stablecoin rule set, with charter-specific supervisors.	Broadly yes within MiCA categories, though entity type still matters for exact authorization path.	Intended direction is comparable conduct/prudential standards across authorized firms, though implementation is still ongoing.	No: Japan still restricts issuance to specific regulated institutional forms rather than a broad bank/nonbank parity model.	Broadly yes within the MAS framework, though bank-issued stablecoins may sit differently from nonbank cases in practice.	HKMA's licensing regime is designed as a single regime for fiat-referenced stablecoin issuers, not only for banks.

Appendix C: Bankruptcy Regime for Regulated Stablecoins

Taxonomy Category	Typical legal/regulatory treatment	Insolvency position of holders	Example
Bank-issued / trust-issued fiat stablecoins with explicit statutory structure	Japan permits digital-money-type stablecoins to be issued by banks, fund transfer service providers, and trust companies; banks issue them as deposits, fund transfer providers issue them as claims on outstanding obligations secured by deposits/guarantees/safe assets, and trust companies issue them as trust beneficiary rights.	Holders are in the best position here because the claim is embedded in an existing banking/trust architecture. In Japan, bank-issued coins track deposit law; trust-issued coins track trust law; and fund-transfer stablecoins must secure redemption obligations. That is much closer to a ring-fenced or beneficiary model than to an ordinary unsecured claim.	Japanese trust-type stablecoins.
Licensed fiat-referenced stablecoins with statutory reserve segregation / bankruptcy-remoteness	Hong Kong's Stablecoins Ordinance requires a specified reserve asset pool and segregation from other reserve pools; the HKMA states the regime for fiat-referenced stablecoin issuers took effect on August 1, 2025. The UK's systemic stablecoin proposal also centers on segregation and statutory trust for backing assets, though that remains a proposal rather than a fully operative final regime.	This is close to "bankruptcy remote" design. The legal objective is to keep reserves outside the issuer's general estate and available for coinholder redemption. In Hong Kong, the direction is clearly toward protected reserve pools; in the UK systemic model, the Bank of England has proposed an express statutory-trust architecture.	Future Hong Kong-licensed fiat-referenced stablecoins; proposed UK systemic sterling stablecoins. The HKMA granted the first two stablecoin issuer licences on 10 April 2026, to Anchorpoint Financial Limited and The Hongkong and Shanghai Banking Corporation Limited (HSBC).
EMT / e-money style regulated stablecoins with redemption-at-par and reserve segregation	Under MiCA, e-money token holders have a claim against the issuer and a right of redemption at par; MiCA also requires reserves for ARTs and related prudential/risk-management architecture. This is a strong regulated-claim model, but it is not identical to saying every holder has a freestanding proprietary right in the reserve under all national insolvency laws.	Better than the pre-MiCA contractual model, but still analytically a **regulated claim against the issuer** rather than a universal property-law solution. Insolvency outcomes will still interact with national private-law and insolvency-law implementation. So MiCA materially improves coinholder position, but it does not eliminate all legal-qualification questions.	EU EMTs, including MiCA-compliant fiat-backed stablecoins. Circle's European Economic Area (EEA) white paper states reserves are held in segregated accounts for the benefit of EEA holders, which is directionally consistent with this model.
US federally regulated payment stablecoins /	The United States has moved sharply toward a bankruptcy-priority model. The GENIUS Act was signed in July 2025; the OCC's March 2026 proposal implements	This is a robust framework for fiat payment stablecoins, especially compared with the 2022–23 bankruptcy cases involving crypto platforms.	USDC, PYUSD, USDP, and future GENIUS-compliant payment stablecoins.

Taxonomy Category	Typical legal/regulatory treatment	Insolvency position of holders	Example
highly regulated state trust-company issuers	it. Secondary materials summarizing the enacted statute explain that stablecoin holders have priority in insolvency, reserve assets are treated outside the bankruptcy estate, and shortfalls generate a first-priority claim. At issuer level, Circle says USDC reserves are held in segregated accounts apart from corporate funds "on behalf of, and for the benefit of" users; Paxos says PYUSD/USDP assets held with Paxos Trust are bankruptcy remote.	But it is still coin-specific and perimeter-specific: the protection is strong for **permitted payment stablecoins** and regulated trust-company issuers, not for every token calling itself a stablecoin.	

Appendix D: Bankruptcy Regime for Unregulated Stablecoins

Taxonomy Category	Reserve Structure	Legal Characterization	Insolvency Treatments	Strength of Holder Protection	Example
Offshore Fiat-Backed (Contract-Driven)	Backed, but reserves not always legally segregated or bankruptcy-remote	Pure contractual claim against issuer	Holders risk being treated as unsecured creditors if segregation fails or is not enforceable	Moderate to weak	USDT (structure-dependent)
Custodial Wallet Claims (Exchange-Issued "Stablecoins")	Assets pooled under exchange custody	User has claim against intermediary, not direct asset right	Falls into exchange bankruptcy estate (as seen in crypto insolvencies)	Weak	Exchange IOU balances
Crypto-Collateralized (Overcollateralized DeFi)	On-chain crypto collateral (e.g., ETH, RWAs)	No central issuer; governed by smart contracts	No "issuer insolvency"; risk shifts to protocol failure, oracle failure, or custodian insolvency (for RWAs)	Structurally different (non-bankruptcy model)	DAI / USDS
Synthetic / Derivative Stablecoins	No direct reserves; value derived via hedging / derivatives	Financial exposure rather than asset backing	Collapse resembles derivatives unwind; no redemption pool	Weak / indirect	sUSD-type models
Algorithmic Stablecoins (Unbacked)	No collateral; stabilization via supply-demand algorithms	No redeemable claim	No insolvency estate to claim against; value collapse = total loss	None	TerraUSD (UST)
Hybrid / Fractional Models	Partial reserves + algorithmic components	Mixed legal nature	Recovery depends on residual reserves + governance decisions	Highly uncertain	FRAX (early design)
Wrapped / Bridged Stablecoins	Backing held by bridge or custodian	Claim depends on bridge integrity	If bridge/custodian fails → assets may be unrecoverable	Weak (counterparty risk dominant)	Bridged USDC variants

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Tim Massad (Harvard/Georgetown)
Urszula McCormack (King & Wood)
Jack McDonald (Ripple)
Monica Ramirez de Arellano (Anchorage Digital)
Sumved Sharma (Kepler Cannon)
Ramy Soliman (GMO Trust/Stablecoin Standard)
Jesse Spiro (Tether)
Corey Then (Circle)
Andrea Tosato (Southern Methodist University)
Helen Tu (Binance)
Harald Uhlig (University of Chicago)
Yesha Yadav (Vanderbilt Law School)

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BDAP is a research initiative focused on the evolving blockchain phenomenon, led by Professor Kevin Werbach. BDAP provides balanced, research-based perspectives, and draws on Wharton/Penn faculty, alumni, and students, as well as relationships with officials and industry experts from around the world, to bridge gaps among stakeholders. Visit **bdap.wharton.upenn.edu** for more information.




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